

1. Income Tax Rules from :

What is Income Tax?

Income tax is a type of direct tax paid to the central government of India. It is the primary source of revenue for the government. It plays an important role in financing various developmental and welfare activities. It is governed by the Income Tax Act of 1961, and is administered by the Central Board of Direct Taxes (CBDT) under the Ministry of Finance, Government of India. there are various types of income tax like

Personal Tax: It applies to the income earned by the individual and HUFs. It is calculated by the individual's total taxable income sourced from salary, house property, capital gain, etc.

Corporate Income Tax: It applies to the companies registered under the Companies Act, 2013. Capital Gains Tax

Securities

Transactio

n Tax

(STT)

Dividend

Distributio

n Tax

(DDT)

Minimum

Alternate

Tax (MAT)

Tax

Deducted

at Source

Interim Budget 2024 Updates:

1. Maintenance of Existing Tax Rates: The interim budget for 2024 keeps the current tax rates unchanged for both direct and indirect taxes.
2. Tax Exemption for Lower Income Groups: Individuals earning up to Rs 7 lakh annually have no tax liability, providing relief for lower income groups.
3. Withdrawal of Tax Dispute Provisions: Finance Minister Nirmala Sitharaman withdraws tax dispute claims up to Rs 25,000 for disputes pertaining to the financial year 2009-10 and Rs 10,000 for disputes from financial years 2010-11 to 2014-15.
4. Enhanced Leave Encashment Limit: The limit for leave encashment for non-government employees has been raised significantly from Rs 3 lakh to Rs 25 lakh.
5. Reduction in TDS Rate on EPF Withdrawal: The Tax Deducted at Source (TDS) rate on Employee Provident Fund (EPF) withdrawals has been decreased from 30% to 20%, providing relief to EPF subscribers.

6. Standard Deduction for Salaried Employees: Salaried employees and pensioners can claim a standard deduction of Rs 50,000 under the new tax regime.
7. Reduction in Highest Surcharge: The highest surcharge for individuals earning more than Rs 5 crore has been reduced to 25% from the previous 37%, resulting in a decreased tax rate for this bracket.
8. Opt-Out Provision for New Tax Regime: While the new tax regime will be the default option, taxpayers have the option to opt out before the due date for filing income tax returns for the respective assessment year.

Budget 2023 Major Updates:

1. Tax Rebate for Lower Income Groups: Individuals earning up to Rs 7 lakh annually receive a tax rebate in the New Tax Regime, exempting them from paying taxes if their taxable income is below Rs 7 lakh.

The new tax slabs under the new tax regime will be:
Income Slabs

Tax Rates

up to Rs 3 lakh

Nil

Rs 3 lakh- Rs 6 lakh

5%

Rs 6 lakh-Rs 9 lakh

10%

Rs 9 lakh-Rs 12 lakh

15%

Rs 12 lakh- Rs 15 lakh

20%

Above Rs 15 lakh

30%

2. Standard Deduction for Salaried Employees and Pensioners: Salaried employees and pensioners can claim a standard deduction of Rs 50,000 under the new tax regime, reducing their taxable income.
3. Reduction in Highest Surcharge: The highest surcharge for individuals earning over Rs 5 crore has been lowered to 25% from 37%, resulting in a reduced tax rate of 39% for this group.
4. Default New Tax Regime: The new Income Tax (IT) regime becomes the default tax regime, providing a simplified tax structure for taxpayers. However, individuals have the option to opt out before the due date for filing IT returns for the respective assessment year.
5. Enhanced Leave Encashment Limit: Non-government employees benefit from an increased limit for leave encashment, raised from Rs 3 lakh to Rs 25 lakh, offering greater flexibility in utilizing accrued leave benefits.
6. Decrease in TDS Rate on EPF Withdrawal: The Tax Deducted at Source (TDS) rate on Employee Provident Fund (EPF) withdrawals has been reduced from 30% to 20%, easing the tax burden on EPF subscribers during withdrawal.

Who should pay Income Tax?

Income Tax applies to individuals, businesses and other entities as per their income or profit earned in a particular year.

Different tax rules apply to different types of taxpayers.

Below are the categories of taxpayers:

Individuals

Hindu Undivided Family (HUF)

Firms

Companies

Association of Persons(AOP)

Body of Individuals (BOI)

Local Authority

Artificial Judicial Person

Here are some point about who should pay tax-

Individual

Individuals who are residents of India need to pay income tax on their total taxable

income. Non-resident individuals also need to pay taxes earned or received in India.

Income tax is applicable on sources like salaries, house property, capital gains, business or profession, and other incomes like interest, dividends, etc.

The tax rates vary as per age, tax slabs, etc.

Hindu Undivided Families (HUFs)

HUFs are also eligible to pay income tax on their total taxable income.

HUFs are taxed separately from the income of individual members of a family.

Companies, Partnership & LLPs

Companies, Partnerships and Limited Liability Partnerships (LLPs) registered under the Companies Act, 2013 need to pay income tax on the profit gained in the particular financial year.

The tax rate is based on the turnover, business structure, etc.

Other Entities

Trusts, associations, institutions, and other legal entities are also liable to pay income tax as per their income and source.

Types of Income – What are the 5 heads of income?

All individuals earning income in India, whether residents or non-residents, are liable to pay income tax. To simplify categorization, the Income Tax Department divides income into five primary heads:

Head of Income and Nature of Income Covered:

Head of Income	Nature of Income Covered
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Income from Other Sources	Taxable income from sources such as interest earned on savings bank accounts, fixed deposits, and winnings from lotteries.
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Income from House Property Taxable income derived from renting out a property, including residential and commercial spaces.

Income from Capital Gains Taxable surplus generated from the sale of capital assets like mutual funds, shares, and real estate properties.

Income from Business and Profession Taxable profits earned by self-employed individuals, freelancers, contractors, and professionals like doctors, lawyers, and insurance agents.

Income from Salary Taxable income earned from employment, including salaries and pensions.

Simplified Explanation:

Income from Other Sources: Tax on money earned from savings account interest, fixed deposits, or lottery winnings.

Income from House Property: Tax on money earned from renting out properties, whether residential or commercial.

Income from Capital Gains: Tax on profits made by selling investments like mutual funds, stocks, or real estate.

Income from Business and Profession: Tax on profits earned by self-employed individuals, freelancers, and professionals like doctors or lawyers.

Income from Salary: Tax on money earned through employment, including salaries and pensions.

Components of Income Tax

Here is the key component of income tax, that you should know

Gross Total Income (GTI): Gross Total Income is the total income earned by the individual business or other entities during a financial year before any deduction or exemption. It includes salaries, wages, profit, capital gains, house property, etc.

Deductions: It is expenses or investments that taxpayers can claim to reduce their income amount. There are various sections in the Income Tax Act like Section 80C, Section 80D, Section 80 G, etc. It lowers the tax liability and encourages saving and investments.

Taxable Income: It is the income remaining after deducting a deduction from the GTI. It is the amount on which income tax is calculated and paid to the government.

Tax Slabs and Rates: Income tax in India is levied at progressive tax rates, which means higher incomes attract high-income tax rates. It is revised every year by the government through the union budget.

Tax Credit: Tax Credits are incentives provided by the government. Common tax credits include deductions for taxes paid in advance (TDS), taxes paid on self-assessment, foreign tax credits for taxes paid in another country, etc.

Tax Liability: It is the total amount of tax needed to be paid by the taxpayer to the government. It is calculated by applying the applicable tax rates to the taxable income after considering deductions and tax credits.

What is the Income Tax Regime?

Income Tax Regime is the system and framework established by the government to levy taxes on the income earned by individuals, businesses, and other entities within the country. It is a tax slab by the government.

Latest New tax regime FY 2023-24

Income up to Rs 3 lakh: Nil

Income Rs 3 lakh to Rs 6 lakh: 5%

Income Rs 6 lakh to Rs 9 lakh: 10%

Income Rs 9 lakh to Rs 12 lakh: 15%

Income Rs 12 lakh to Rs 15 lakh: 20%

Income above Rs 15 lakh: 30%

Last Tax Regime FY 2022-23

Income up to Rs 2.5 lakh: Nil

Income Rs 2.5 lakh to Rs 5 lakh: 5%

Income Rs 5 lakh to Rs 7.5 lakh: 10%

Income Rs 7.5 lakh to Rs 10 lakh: 15%

Income Rs 10 lakh to Rs 12.5 lakh: 20%

Income Rs 12.5 lakh to Rs 15 lakh: 25%

Income above Rs 15 lakh: 30%

Taxpayers and Tax Slabs

- Taxpayers in India are divided into different categories like individuals, Hindu Undivided Families (HUFs), associations of persons (AOPs), and bodies of individuals (BOIs).
- Tax rates for firms and Indian companies are fixed, whereas individual taxpayers are taxed based on income slabs.
- Income is categorized into blocks called tax slabs, each with a different tax rate.
- As income increases, the tax rate also increases, following a progressive tax system.
- This means that higher income earners pay a higher percentage of their income in taxes.

What is the Existing/Old Income Tax Regime?

- The old income tax regime had three slab rates: 5%, 20%, and 30%.
- Taxpayers could opt for this regime and claim various deductions.
- Allowances like Leave Travel Concession (LTC), House Rent Allowance (HRA), and specific other allowances were deductible.
- Deductions for tax-saving investments under sections 80C to 80U were allowed.
- A standard deduction of Rs 50,000 was applicable.
- Taxpayers could also claim a deduction for interest paid on home loans.

Tax slab rates applicable for Individual taxpayers below 60 years for the Old tax regime are as below:

Income Range

Tax rate

Tax to be paid

Up to Rs 2,50,000

0

No tax

Rs 2.5 lakhs – Rs 5 lakhs

5%

5% of your taxable income

Rs 5 lakhs – Rs 10 lakhs

20%

Rs 12,500+20% on income above Rs 5 lakh

Above 10 lakhs

30%

Rs 1,12,500+30% on income above Rs 10 lakh

There are additional tax slabs for individuals aged 60 and above, as well as those above 80. It's worth noting that some people mistakenly assume that if they earn Rs. 12 lakh, they'll pay 30% tax on the entire amount (Rs. 3,60,000). However, under the progressive tax system, someone earning Rs. 12 lakh would pay Rs. 1,12,500 + Rs. 60,000, totaling Rs. 1,72,500.

Income Tax Slabs Under New Tax Regime

In the 2020 budget, a new tax system was introduced with reduced tax rates and fewer deductions for Individuals and HUFs. As a result, many taxpayers didn't choose the new system. However, to promote it in Budget 2023, the income tax slabs for FY 2023-24 (AY 2024-25) have been updated as mentioned below:-

New tax regime FY 2023-24
(After budget)

New tax regime FY 2022-23
(Before budget)

Income up to Rs 3 lakh

Nil

Up to Rs 2.5 lakh

Nil

Rs 3 lakh to Rs 6 lakh

5%

Rs 2.5 lakh to Rs 5 lakh

5%

Rs 6 lakh to Rs 9 lakh

10%

Rs 5 lakh to Rs 7.5 lakh

10%

Rs 9 lakh to Rs 12 lakh

15%

Rs 7.5 lakh to Rs 10 lakh

15%

Rs 12 lakh to Rs 15 lakh

20%

Rs 10 lakh to Rs 12.5 lakh

20%

Income above Rs 15 lakh

30%

Rs 12.5 lakh to Rs 15 lakh

25%

Income above Rs 15 lakh

30%

Under the New Tax Regime, many deductions and exemptions are not applicable. However, there are some exemptions and deductions available, such as:

1. Transport allowances for specially-abled individuals.
2. Conveyance allowance received for work-related travel expenses.
3. Compensation for travel costs during tours or transfers.
4. Daily allowance for regular expenses during absence from the regular place of work.

Exceptions to the Income Tax Slab:

Capital gains income is taxed differently based on the type of asset and how long it's been owned.

Assets are categorized as long-term or short-term based on the holding period, which varies for different assets.

Here's a summary of the holding period, asset type, and corresponding tax rates:

Financial Year (FY):

The financial year is the period from April 1st to March 31st during which income is earned and reported for taxation purposes. For example, FY 2022-23 starts from April 1st, 2022, to March 31st, 2023.

Assessment Year (AY):

The assessment year follows the financial year, spanning from April 1st to March 31st of the following year. Taxpayers assess their income earned during the financial year and pay taxes during this period. For instance, AY 2023-24 is for incomes earned in FY 2022-23.

Assessee:

An assessee is an individual or entity that assesses their income and pays taxes according to the Income Tax Act. This includes individuals, partnership firms, companies, Associations of Persons (AOPs), Trusts, etc.

What is PAN?

A PAN, or Permanent Account Number, is a special 10-digit alphanumeric code given by the Indian Income Tax Department to taxpayers. This number serves as a unique identifier for individuals and helps in tracking their tax-related activities. Whenever a person pays taxes or files returns, they must mention their PAN. Additionally, PAN is shared with banks, mutual funds, and other financial entities. This allows the Income Tax Department to monitor all financial transactions associated with that PAN. Essentially, PAN links an individual's financial activities with the tax department, making it easier for tax authorities to manage taxation processes and track incomes.

What is TAN?

TAN, or Tax Deduction and Collection Account Number, is a unique 10-digit alphanumeric code issued by the Income Tax Department. It is primarily meant for entities responsible for deducting or collecting taxes at the source. Any entity involved in tax deduction (TDS) or tax collection (TCS) must obtain a TAN. This number is crucial for filing TDS/TCS returns, making tax payments, and issuing TDS/TCS certificates. By quoting TAN in all relevant documents and transactions, organizations ensure compliance with tax regulations and facilitate smooth processing of tax-related activities.

Residents and Non-residents

The levy of income tax in India hinges on the residential status of taxpayers. Residents are individuals who qualify under Indian tax laws and are liable to pay taxes on their worldwide

income, including earnings from both within and outside India. Conversely, non-residents are only required to pay taxes on income earned within India. Determining residential status is crucial and must be done for each financial year separately. This classification ensures that tax liabilities are appropriately assessed based on the taxpayer's presence and economic activities within the country's jurisdiction.

Income Tax Payment

Tax Deducted at Source (TDS)

Tax deducted at source (TDS) is a mechanism where tax is deducted by the payer while making certain payments to the recipient. The recipient can later claim credit for this TDS amount by adjusting it against their final tax liability.

Advance Tax

Advance tax is tax paid in advance by taxpayers if their estimated tax liability for the year exceeds Rs 10,000. The government specifies due dates for paying advance tax installments throughout the financial year.

Self-Assessment Tax

Self-assessment tax is the balance tax that taxpayers have to pay on their assessed income after adjusting for advance tax and TDS. It is calculated based on the total income tax liability determined by the taxpayer.

E-Payment of Taxes

Taxpayers can conveniently pay advance tax and self-assessment tax online through the NSDL website. However, they need to have net banking facilities with authorized banks for e-payment.

Filing your ITR: A Simple Guide

E-filing your income tax return has become mandatory for most taxpayers, except for a few exceptions:

1. Taxpayers aged 80 and above are exempt from e-filing.
2. Taxpayers earning less than Rs 5 lakhs and not seeking a refund also do not need to e-file. For everyone else, e-filing is compulsory. The deadline for filing returns is typically July 31 after the financial year ends.

If you miss the deadline, here are the consequences:

- You won't be able to carry forward losses (except for house property loss) to future years.
- Your refund claims may be delayed.
- Obtaining home loans might become more challenging.
- Late filing fees of up to Rs 5,000 (for incomes above Rs 5 lakhs) or Rs 1,000 (for incomes below Rs 5 lakhs) may be levied under Section 234F.
- Interest may be charged under Section 234A if taxes are due as of July 31.

E-filing offers several benefits beyond just submitting your return. Platforms like Tax Craft help you maximize deductions and invest wisely. After filing online, you can either e-verify the return or print the ITR V and send it to CPC, Bengaluru, for processing.

Income Tax Return

Taxpayers must file their income tax return annually using the prescribed ITR forms provided by the income tax department. There are seven ITR forms available, and taxpayers need to select the appropriate form based on their income sources and other relevant factors.

Income Tax Forms: A Quick Overview

When filing your income tax return (ITR), you'll need to choose the appropriate form based on your income sources and other factors. Here's a simple breakdown of the seven ITR forms:

1. ITR-1: For individuals (residents) with income from salary, one house property, other sources, agricultural income less than Rs 5,000, and total income up to Rs 50 lakh.
2. ITR-2: For individuals/HUFs without any business or profession under proprietorship, but with more than one house property.
3. ITR-3: For individuals/HUFs with income from proprietary business or profession, and income as a partner in a firm.
4. ITR-4: For individuals/HUFs with presumptive income from business or profession, along with one house property.
5. ITR-5: For partnership firms or Limited Liability Partnerships (LLPs).
6. ITR-6: For companies.
7. ITR-7: For trusts.

Choose the form that best matches your income sources and follow the instructions carefully to complete your tax filing process.

Essential Documents for ITR Filing Simplified

Before filing your income tax return (ITR), make sure you have these key documents ready:

1. Form 16: This is provided by your employer and summarizes your salary income and tax deductions.

2. Form 26AS: It's a consolidated statement showing all tax-related information like TDS, TCS, and advance tax paid against your PAN.
3. AIS (Agricultural Income Statement): If you have income from agriculture, ensure you have this statement ready.
4. TIS (Taxable Income Statement): Prepare a statement summarizing all your taxable income sources.
5. Form 16A: If you have income from sources other than salary, like interest income, you might need this form.
6. Proof of Tax Saving Investments: Keep documents supporting your investments in tax-saving instruments like LIC, PPF, NSC, etc.
7. Bank Account Details: You'll need details of the bank accounts where you wish to receive any tax refunds.

Ensure you gather these documents based on your income sources to make the filing process smoother and accurate.

Simple Steps to Calculate Income Tax

1. Compile All Income Sources: Gather details of all your income sources such as salary, rental income, interest income, etc.
2. Identify Exempt Incomes: Exclude incomes exempted under the law like agricultural income or LTCG on listed equity shares up to Rs 1 lakh.
3. Apply Applicable Deductions: Claim deductions available under each income source. For instance, deduct municipal taxes from rental income or business-related expenses from business turnover.
4. Utilize Exemptions: Make use of exemptions allowed for specific incomes. For example, reinvested amount in another house property can be exempted from capital gains income.
5. Claim Deductions from Total Income: Utilize deductions under Section 80C, 80D, 80TTA, etc., to reduce your taxable income.
6. Calculate Taxable Income: Subtract all deductions from your total income to arrive at your taxable income.

7. Determine Tax Liability: Check the tax slab you fall under and calculate your income tax payable accordingly.

8. Consider Government Updates: Stay informed about changes in tax slabs, schemes, and benefits introduced by the government through the Budget.

By following these simple steps and staying updated with tax regulations, you can accurately calculate your income tax liability.

Understanding Income Computation and Tax Rebates

1. Computation of Income:

It involves calculating taxable income by considering earnings from all sources and applying deductions, exemptions, and rebates as per the Income Tax Act.

2. Rebate u/s 87A:

Taxpayers can reduce their tax liability with a rebate under Section 87A. Residents with total income not exceeding Rs 5 lakh after deductions can claim a rebate of up to Rs 12,500.

3. e-File Returns:

Taxpayers must electronically file their income tax returns via the IT department's e-filing platform. Register at www.incometax.gov.in, log in, and submit your ITR. E-verification completes the process without sending physical documents.

4. Understanding ITR-V:

ITR-V is an acknowledgment generated after filing your income tax return. It must be e-verified or sent to CPC Bangalore for verification to initiate processing.

5. E-filing Assistance:

Many Companies offers step-by-step guidance for e-filing your Income Tax Return. Even with minimal tax knowledge, you can file your taxes hassle-free.

Income Tax Saving Instruments

Taxpayers can lower their tax burden through tax planning, achieved by investing in tax-saving tools. These investments reduce the taxable income, as permitted by Sections 80C to 80U of the Income Tax Act. Notable options under Section 80C include:

Popular Section 80C Investments

Particulars

ELSS

PPF

NSC

5-Year Tax Saving FD

SCSS

Section 80C Benefit

Yes

Yes

Yes

Yes

Yes

Type of Investment

Equity

Fixed Income

Fixed Income

Fixed Income

Fixed Income

Lock-in Period

3 Years

15 Years

5 Years

5 Years

5 Years

Maximum Investment

No Max Limit

Rs 1.5 lakh

No Max Limit

Rs 1.5 lakh

Rs 15 lakh

*ELSS and NSC have no upper investment limit. However, you get tax benefits under Section 80C only up to Rs 1.5 lakh per financial year.

Health Insurance and Medical Expense Deduction

Apart from the Section 80C deduction, a taxpayer can also take a tax benefit under Section 80D for health insurance premium and medical expenditure incurred for self, family and parents.

Person insured

Maximum deduction Below 60 years

Maximum deduction 60 years or older

You, Your Spouse, Your Children

Rs. 25,000

Rs. 50,000

Your parents

Rs. 25,000

Rs. 50,000

Preventative health checkup

Rs. 5,000

Rs. 5,000

Maximum deduction (includes preventive health checkup)

Rs. 50,000

Rs. 1,00,000

Education Loan Deduction:

According to Section 80E, taxpayers can get a deduction for the interest paid on a loan taken for higher education. There's no limit to this deduction when filing income tax returns.

Home Loan Deduction:

As per Section 24, taxpayers can claim a deduction for the interest paid on a home loan in the relevant financial year. The deduction amount depends on whether the house is self-occupied or rented out. Additionally, taxpayers can claim a deduction on the principal amount of the loan under Section 80C, up to Rs 1.5 lakh.

Deduction on

Maximum allowed (for self-occupied house property)

Maximum allowed (for property on rent)

Stamp duty and registration + principal

Rs 1,50,000 within the overall limit of Section 80C

Rs 1,50,000 within the overall limit of Section 80C

Deduction on home loan interest under Section 24

Rs 2,00,000

No cap (but rental income must be shown in the income tax return). Further, the maximum loss from house property is capped at Rs 2 lakhs

Deduction for first-time homeowners under Section 80EE *certain conditions apply

Rs 50,000

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Deduction for Interest Income

The taxpayer can also claim a deduction for interest on deposits from banks under Section 80TTA of the Income Tax Act. Individuals can claim up to Rs 10,000 deduction under the said section.

Important Income Tax Dates for 2024:

- March 15, 2024: Deadline for the fourth installment of advance tax for the financial year 2023-24.
- June 15, 2024: Due date for the first installment of advance tax for the financial year 2024-25.
- July 31, 2024: Last date for filing income tax returns for the financial year 2023-24 for individuals and entities not subject to tax audit or involved in international/domestic transactions.
- September 15, 2024: Deadline for the second installment of advance tax for the financial year 2024-25.
- September 30, 2024: Submission of audit report (Section 44AB) for the assessment year 2024-25 for taxpayers liable for audit.
- October 31, 2024: Deadline for ITR filing for taxpayers requiring audit (without international/domestic transactions) and submission of audit report.
- December 15, 2024: Due date for the third installment of advance tax for the financial year 2024-25.
- December 31, 2024: Last date for filing belated or revised returns for the financial year 2023-24.

How to Pay Income Tax In India?

Paying income tax is an important responsibility for all eligible taxpayers. If you are eligible to pay tax, then here is the step-by-step guide to pay it-

You should begin by calculating your tax liability for the financial year. Calculate it with total income, applicable tax rate, deduction and exemption.

Decide your payment method. You can pay online or offline. However, online methods are more convenient and efficient.

Now, visit the official website of the Income Tax Department. Click on <https://www.incometaxindia.gov.in/> and go to the “e-Payment” section.

Select the appropriate tax payment as you calculated.

Provide necessary documents like PAN card, tax type, etc. and proceed to the payment option. For online, you have payment options like internet banking, debit card, credit card, UPI, etc.

For offline payment, get a physical copy of the tax payment challan generated from the nearby bank branches. Fill out the required document, visit the nearest authorized bank branch and submit the filled challan along with documents, cash, etc.

After completing the payment process, it is important to verify the payment status to ensure successful processing.

Save the copy of the payment receipt, acknowledgement and transaction reference number for future use

Lastly, ensure timely filing of your income tax returns (ITR) after making the tax payment. If you do not file a return before the specified date, then you have to bear penalties and late fees.

Income Tax Law:

The Income Tax Act is the main law governing taxation in India. It undergoes amendments every year during the presentation of the Union Budget by the Finance Minister. This budget introduces changes to the Income Tax Act, including the recent introduction of a new tax regime.

Apart from the Income Tax Act, other components of income tax law include income tax rules, circulars, notifications, and case laws. These elements aid in the implementation and collection of taxes.

About Income Tax Department India:

The Income Tax Department is a government agency responsible for collecting direct taxes on behalf of the Government of India. It operates under the Ministry of Finance, which oversees the country's revenue functions. The Central Board of Direct Taxes (CBDT), a part of the Ministry of Finance, supervises the administration of direct taxes like Income Tax. The CBDT manages direct tax laws through the Income Tax Department, ensuring compliance and enforcement. Therefore, the Income Tax Department administers income tax laws under the guidance of the CBDT, collecting direct taxes for the government.

Budget 2023 – Income Tax Updates:

1. **Deduction from Capital Gain:** Capital gains from reinvesting in a residential house property under sections 54 and 54F of the Income Tax Act are now capped at Rs. 10 crores.
2. **Surcharge Reduction:** The highest surcharge rate has been reduced from 37% to 25%.
3. **Insurance Policies:** Income from insurance policies with a premium exceeding Rs 5,00,000 annually is now taxable under 'Income from other sources'. This rule applies to policies issued on or after April 1, 2023. Deductions will be allowed for premiums not previously claimed under any other provisions of the act. Exemptions are granted for income received on the insured person's death.
4. **E-gold Receipt:** Converting gold into E-gold receipts or vice versa is no longer considered a capital gain.

5. Presumptive Taxation: The limit for MSMEs and certain professionals to avail presumptive taxation benefits has been increased to Rs 3 crore and Rs 75 lakh, respectively. This increase applies if total cash receipts do not exceed five percent of the total gross receipts or turnover.

Conclusion:

Income Tax in India is an important responsibility for eligible people. It has to be paid every financial year in March or April. Before filing income tax, ensure compliance with tax laws and optimize their tax liabilities through legitimate means such as tax planning and availing tax deductions and exemptions. By following the easy steps, taxpayers can easily fulfill their income tax. While paying your income tax, it is essential to collect the required document with the payment receipt. Well, both options are available, online and offline. If it seems difficult to you, then it is advised to consult a professional advisor or consult the Income Tax Department's website for detailed information and updates on income tax regulations.

FAQs:-

1. What is income tax?

– Income tax is a tax levied on the income of individuals, businesses, and other entities by the government. It is a direct tax that is based on the income earned by taxpayers.

2. Who should pay income tax?

– Any individual or entity earning income in India, whether a resident or non-resident, is required to pay income tax based on the applicable tax slabs and rules.

3. What are the types of taxpayers?

– Taxpayers can be classified into different categories such as individuals, Hindu Undivided Families (HUFs), companies, firms, and other entities recognized under the Income Tax Act.

4. What are the five heads of income?

– The five heads of income include salary, house property, capital gains, business or profession, and other sources.

5. How are taxpayers and tax slabs related?

– Taxpayers are taxed based on their income slabs, which determine the applicable tax rates. Different tax slabs have different tax rates, with higher incomes generally taxed at higher rates.

6. What is the existing (old) income tax regime?

– The old tax regime has different slab rates of 5%, 20%, and 30% for various income brackets, along with various deductions and exemptions allowed under Sections 80C to 80U.

7. What are the income tax slabs under the new tax regime?

- The new tax regime introduced lower tax rates but fewer deductions/exemptions. Taxpayers can choose between the old and new regimes based on their preference and financial situation.

8. What are exceptions to the income tax slab?

- Capital gains income is an exception to the income tax slab and is taxed based on the nature of the asset and the duration of ownership.

9. What is PAN (Permanent Account Number)?

- PAN is a unique 10-digit alphanumeric number issued by the Income Tax Department to individuals and entities for tax purposes.

10. What is TAN (Tax Deduction and Collection Account Number)?

- TAN is a 10-digit alphanumeric number allotted by the Income Tax Department to entities responsible for deducting or collecting tax at source.

11. What is the difference between residents and non-residents for tax purposes?

- Residents are taxed on their global income, while non-residents are taxed only on income earned in India.

12. What are the different types of taxes paid by taxpayers?

- Taxpayers pay various taxes, including income tax, advance tax, self-assessment tax, and tax deducted at source (TDS).

13. How can I file my income tax return (ITR)?

- Income tax return can be filed electronically through the income tax department's e-filing portal using the appropriate ITR form based on the taxpayer's income sources.

14. What documents are required for filing ITR?

- Documents like Form 16, Form 26AS, bank statements, investment proofs, and other relevant financial documents are needed for filing ITR.

15. What are the important income tax dates for 2024?

- Key dates include due dates for advance tax installments, ITR filing, audit report submission, and belated return filing.

16. What is the Income Tax Act?

- The Income Tax Act comprises provisions governing taxation in India, with amendments introduced through the Union Budget every year.

17. What is the Income Tax Department of India?

- The Income Tax Department is a government agency responsible for collecting direct taxes on behalf of the Government of India.

18. What are some deductions available for taxpayers?

– Deductions like those for health insurance, education loans, home loans, and interest income can help taxpayers reduce their taxable income.

19. How can taxpayers save tax in India?

– Taxpayers can save tax through tax planning strategies like investing in tax-saving instruments, claiming deductions, and utilizing exemptions available under the Income Tax Act.

2. Data from ITR Website:

Form 3CB-3CD

Q; While submitting Form 3CB-3CD, “Unique Document Identification Number” page is displayed. Though we have duly taken UDIN before uploading the tax audit report, I am not able to add the UDIN details. Should I select “I donot have UDIN / I will update later” inspead?

Ans; Bulk upload facility for UDIN is enabled for Form 15CB only. The feature will be enabled shortly. You may still go ahead and file the form by selecting **“I donot have UDIN / I will update later”**. Once the UDIN feature made available for all the forms, you can update the same in the portal.

Form 10 B

QI am trying to file and submit Form 10B.However upon submission, the page displays the following error "INVALID FORMAT FOR ARN". What should I do?

Ans; Before, filing Form 10B please update your profile from the “My Profile” section and ensure that all mandatory fields are filled. After updating your profile details, you can re-login and try again.

Form 67

Q; Why do I need to submit Form 67?

Ans: You will be required to submit Form 67 if you want to claim credit of foreign tax paid in a country or specified territory outside India. You will also be required to submit Form 67 in case of carry backward of loss of the current year resulting in refund of foreign tax for which credit has been claimed in any earlier previous years

Q; What are the modes in which Form 67 can be submitted?

Ans; Form 67 can only be submitted online on the e-Filing portal. After logging into the e-Filing portal, select Form 67, prepare and submit the form.

Q. How can Form 67 be e-verified?

Ans; You can e-Verify the form using EVC or DSC. You can refer to the How to e-Verify user manual to learn more.

Q; Can I add an Authorized Representative to file Form 67 on my behalf?

Ans; Yes, you can add an Authorized Representative to file Form 67 on your behalf.

Q; What is the time limit to file Form 67?

Ans; Form 67 should be filed before the due date of filing of return as specified u/s 139(1)

Q; When I am trying to upload attachments while filing statutory forms, certain errors are being displayed on the page. What should I keep in mind while uploading attachments on the e-Filing portal?

Ans; – The error might be due to naming convention used in the file. Please avoid using any special characters in the file name and keep the file name small. In addition the size of the attachment should be less than 5 MB and the format of the attachment should be in PDF or Zip format only.

[Form 29B & 29C](#)

Q; I am not able to upload the Form 29B. How can I file and submit Form 29B?

Ans; Form 29B is available on the e-Filing portal. Form 29B is required to be assigned by Taxpayer to their CA.

Once the taxpayer assigns the Form, the CA can access this Form in his / her worklist.

Q; While submitting the form, the page displays the error “INVALID METADATA”. What should I do?

Ans; In case such an error is persisting, there is a possibility that there is a mismatch between the taxpayer selected or the Filing Type (Original / Revised) or AY is not in sync with your login credentials. You are advised to ensure no mismatch related to the mentioned parameters.

Q; I am unable to file form 29B for the assessment year 2021-22. The page is displaying the following error “Submission Failed: Invalid Input”. What should I do?

Ans; This issue arises when Part 3 of “Report of an accountant” field is left blank. In case the field is not applicable, you can enter “NA” in the text box provided below para 3 of “Report for an Accountant” and try resubmitting the form.

Q; I am unable to file form 29B for the assessment year 2021-22. The page is displaying the following error “INVALID FORMAT FOR ARN”. What should I do?

Ans; This is observed when “**Profile**” of the User is not updated correctly. Please ensure that there is no mismatch in the information filled in the Form and your profile. After updating your profile, re-login to the e-Filing portal and try again.

Q; While filing form 29B, Part C (Details of the amount required to be increased or decreased in accordance with sub-section (2C) of section 115JB), I am trying to enter the amounts by which the book profit needs to be increased or decreased by. However, the form is not accepting negative value. What should I do?

Ans; It is likely that you are working on old drafts of the Form 29B. Please delete the draft and file a fresh form.

[Form 56F](#)

Q; While filing Form 56F for claiming sez u/s 10AA, the page is displaying certain errors. Based on a notification on 29th December, 56F is removed and replaced by 56FF (only for reinvestment details). However, there is no change in section 10AA read with 10A. DI need to file 56F?

Ans; Both the forms are available to users in the portal. You may file the form based on the notification / guidance issued by the Income Tax Department and as per the applicable provision of the Act / Rules.

Form 10E

Q; When should I file Form 10E?

Ans: Form 10E has to be filed before filing your Income Tax Return.

Q; Is Form 10E mandatory to file?

Ans; Yes, it is mandatory to file Form 10E if you want to claim a tax relief on your arrear / advance income.

Q; What will happen if I fail to file Form 10E but claim relief u/s 89 in my ITR?

Ans; If you fail to Form 10E but claim relief u/s 89 in your ITR, your ITR will be processed, however the relief claimed u/s 89 will not be allowed.

Q; How do I know that ITD has disallowed the relief claimed by me in my ITR?

Ans; In case the relief claimed by you u/s 89 is disallowed, the same shall be communicated by the Income Tax Department through an intimation u/s 143(1) after the processing your ITR is complete.

Q; I am unable to add income details for while filing Form 10E for the FY 2019-20. What should I do?

Ans: Ensure that you are filing Form 10E for Assessment year 2021-22. In order to file Form 10E for Assessment year 2021-22, click **e-File>Income Tax Forms>File Income tax Forms**. Scroll down to find the tab **“Persons without Business/Professional Income”** Click on **File now**. Select Assessment Year as **2021-22** and click on **Continue**.

Q; I am filing ITR for the AY 2021-22. What should I choose as the AY while filing Form 10E?

Ans; If you are filing Income Tax Return for Assessment Year 2021-22, you need to select Assessment Year 2021-22 while submitting Form 10E.

Q: While filing Form 10E, I am unable to view the taxes applicable in the Assessment year. How should I proceed?

Ensure that you have filled in all income details (including previous year income details in Table A). The taxes will be automatically displayed based on the slab rate. Verify if the income as per the details available on the portal matches with your calculation and insert the amount of tax in the respective table.

Form 10IE

Q; When should I file Form 10IE?

Ans: Form 10IE has to be filed before filing your Income Tax Return.

Q; Is Form 10IE mandatory to file?

Ans; Yes, it is mandatory to file Form 10IE if you want to opt for new tax regime and have Income under the Head “Profits and Gains of Business and Profession.”

Q; What will happen if Form 10IE is applicable to me and I fail to file before filing ITR?

Ans; In case you do not file form 10IE before filing your ITR, you can not opt for new tax regime.

Q; While submitting the form 10IE, displays “Invalid Input” or “Submission Failed!”. What should I do?

Ans; Before, filing Form 10-IE please update “Contact Details” (or “Key Person Details” in case you are an HUF) under “My Profile” and ensure that all mandatory fields are filled.

After updating your Contact details from your profile, you can re-login and try again.

Q; While filing Form 10IE, the AO details or Date of Birth/ Incorporation getting pre-filled. What should I do?

Ans: Please delete the old draft of the form by clicking on “**Delete Draft**” and try re-submitting Form 10-IE.

Q; While submitting the form 10IE, designation of Karta of HUF is not getting pre-filled under Verification tab. What should I do?

Ans; You are requested to update the “**Key Person Details**” under “**My Profile**” section. Re-login to the e-Filing portal and try again.

Q; I do not have any business income. While filing Form 10IE, I am unable to select “No” under “Basic Information” tab. What should I do?

Ans; In case you don’t have any business income and are required to file ITR 1/ ITR 2, there is no need to file Form 10-IE in order to opt for the new tax regime under Section 115BAC of the Income Tax Act, 1961. The option to exercise the benefit under Section 115BAC, in case you have business income, can be claimed while filing the respective ITR form (ITR 1/ ITR 2).

Form 10BA

Q; While submitting Form 10BA, the page displays the error: “*Error: Please enter valid values*”. What should I do?

Ans: In case you are facing such issue while submitting the form, ensure that steps mentioned for updating profile are completed. Additionally, delete the old draft of the form by clicking on “**Delete Draft**”. Re-log in to the e-Filing portal and try again.

Form 35

Q; While submitting Form 35, the page displays the error “*Appeal fees paid should be either of Rupees 250, 500 or 1000 as the case may be*” while entering the appeal fees challan details. What should I do?

Ans: Open the 4th panel, i.e., "Appeal details"

- Please ensure that the mandatory fields like “Amount of income assessed” etc. are updated.

- In case of TDS appeal, it may be selected as “Not Applicable”.

Once these fields are updated, go to 7th panel i.e. “Appeal filing details” and try deleting and re-entering the challan details.

Form 10-IC

Q; While filing Form 10IC, I had selected “Yes” for “Whether option under sub-section (4) of section 115BA has been exercised in Form 10-IB?” Even then, the pre-filled “Previous Year” and “Date of filing of Form 10-IB” fields were missing. What should I do?

Answer: You should delete the ‘Draft’ Form 10-IC which is already saved in “File Income tax Forms” and start the fresh filing of the Form.

Q; While filing Form 10IC, one I have selected “Yes” for “*Whether option under sub-section (4) of section 115BA has been exercised in Form 10-IB?*”, the check box for “*I do hereby withdraw the option under sub-section (4) of section 115BA exercised on.....*” is not getting saved. What should I do?

Ans; You should delete the ‘Draft’ Form 10-IC which is already saved in “File Income tax Forms” and start the fresh filing of the Form.

Form 10-IB & 10-ID

Q; While filing Form 10-IB, the Basic details of the Company were not auto-populated correctly form “My Profile”. What should I do?

Ans; You should delete the ‘Draft’ Form 10-IB which is already saved in “File Income tax Forms” and start the fresh filing of the Form.

Q; While filing Form 10-ID, The “Assessing Officer” details were not getting auto-populated from “My Profile” . What should I do?

Ans; You should delete the ‘Draft’ Form 10-ID which is already saved in “File Income tax Forms” and start the fresh filing of the Form.

Form 10DA

Q; I am unable to submit form 10DA as the following error message appears ‘Submission failed’. How should I proceed?

Ans: You should withdraw/delete old form which is already saved in “File Income tax Forms” and start the fresh filing of the Form. Ensure that all fields including address fields are fully updated in the verification panel and retry submitting the form.

Form 10 IF

Q; My PAN is registered as a credit co-operative bank registered under the Karnataka Credit Co-operative societies Act, 1959. As per section 115BAD, I wish to opt for the lower rate of tax. Even though all the conditions are satisfied as stated in section 115BAD, I am still unable to file the said Form 10-IF. What should I do?

Ans: As per Section 115BAD benefit of the section is allowed only to cooperative societies. It is likely that you are registered as an Artificial Juridical Person base and not as an AOP. Therefore, the form 10IF is not available for filing. In such a case, you are requested to get the details updated through NSDL.

General Queries

Q: Why validation of bank account is required? Why is my Bank Account not getting pre-validated?

Ans:

- Only a pre-validated bank account can be nominated to receive Income Tax refund. Further, a pre-validated bank account may also be used by the individual taxpayer for enabling EVC (electronic verification code) for e-Verification purpose. e-Verification can be used for Income Tax Returns and other Forms, e-Proceedings, Refund Reissue, Reset Password and secured login to e-Filing account
- For successful pre-validation, you must have a valid PAN registered with e-Filing, and an active bank account linked with the PAN.
- If the validation fails, the details are displayed under Failed Bank Accounts. You can click Re-Validate for the bank in the Failed Bank Accounts section.

- However, before proceeding for validation please ensure that your KYC is also completed from your Bankers end, otherwise, it may throw error again.

Q: What is the format of the name while registering on the e-Filing portal?

Ans: If you are an individual user, you are required to enter the name as per the format of the Name appearing in the PAN:

- First Name
- Middle Name
- Last Name

Q: I am unable to reset my password using DSC. What should I do?

Ans: The option is enabled only in the scenario where the DSC is already registered by the Taxpayer in the Profile earlier. If you wish to reset password using DSC, you need to register the DSC before using it for resetting the password. You can use other options available for the same.

Q: I am unable to reset my password using Aadhaar OTP or e-filing OTP in registered mobile number. What should I do?

Ans: In case you are unable to reset my password using the options, share the following documents at efilingwebmanager@incometax.gov.in.

- In case you are an individual user:
 - Scanned copy of your PAN
 - Scanned PDF copy of the identity proof (such as passport /Voter Identity card/Driving License /Aadhaar card / Bank passbook with Photo)
 - Scanned PDF copy of Address proof (such as passport /Voter Identity card/Driving License /Aadhaar card / Bank passbook with Photo)
 - Letter requesting to reset the password by giving the reasons (You should provide your email ID and a Indian Contact number for generating OTP)
- In case you are a corporate user:
 - Scanned copy of the PAN card of the Company or PAN allotment letter issued by AO/PAN Service Provider/Local Computer Centre.
 - Scanned copy of the proof of date of Incorporation of the Company.
 - Scanned copy of the PAN of the principal contact (person responsible to sign the return of income as per section 140 of the Income Tax Act-1961)
 - Copy of one more identity proof of the principal contact issued by the Government agencies (Passport /Voter Identity card / Driving License / Aadhaar card etc. if any)

- Address proof for the office of the Company i.e. any one of the documents like Electricity bill/Telephone Bill/Bank Passbook/ Rent Agreement etc. issued in the name of Company.
- Proof of appointment of the Principal Contact, if request made by other than Managing Director / Directors.
- A request letter for resetting the password of the COMPANY in the company letter head duly signed by the principal contact. All listed documents must be self-attested by the Principal Contact. Once the documents are validated, the reset password will be shared through mail id from which request has been received.

Q: What are some of the important points to consider while registering in the income tax portal through DSC?

Ans: You should check the below pre-requirements before reporting the issues to the helpdesk:

- Latest Embridge application should be Installed
- Updated e-Mudhra Token drivers is updated
- You have logged in to the Token Manager
- Local Host e-Mudhra is whitelisted by the System Admin
- Profile and Contact details (Mandatory fields) are updated (log out and re-login after you have updated it)
- Ensure one DSC should be in one dongle (e-token)

Q: I am trying to re-register DSC but getting PAN mismatch error? What should I do?

Ans: Since DSC is already registered in the portal, you need not re-register the same. You can proceed to e-verify the Form / ITR, once he is able to see registered DSC under ‘View Certificate’.

Q: I had registered my DSC in the previous e-Filing portal. Do I need to re-register it in the new portal also?

Ans: Yes.

Q: I am a Non- Individual user. What should I do if DSC is not showing as Registered and Validity field is appearing as Blank under the “Key Person Details”?

Ans: You can try the below steps:

- In Principal Contact, Profile (i.e. individual user) details should match with DSC obtained – email ID, token name and validity of DSC
- You can try adding the same Key Person again
- When prompted that the same Key person cannot be added – please remove the ‘Key Person’ by selecting the Option- “**Left**” and add back the same Key Person.
- In case more than one key person is added in the non- individual profile, You need to select the right “**Key person**” as Principal Contact before e-verifying a Form / ITR.

Q: Can I file rectification when communication is issued u/s 143(1)(a) for prima facie adjustment?

Ans: You should ensure the following:

- Response for agreeing/disagree should be filed when communication is issued u/s 143(1)(a) for PFA;
- Once return is processed and intimation is generated u/s 143(1), you can opt for filing rectification

Q: Can I withdraw rectification after filing?

Ans: No. Rectification application filed online cannot be withdrawn.

Q: In case rectification has been filed, can I file rectification again?

Ans: You can file rectification again once previous rectification request has been processed and order u/s 154 has been issued.

3. Income Tax

What's New In Income Tax
Interim Budget 2024 -

The budget maintained the existing tax rates for both direct and indirect taxes.

Taxpayers with income up to Rs 7 lakh have no tax liability.

Finance Minister Nirmala Sitharaman also withdraws 'tax dispute' up to Rs 25,000 for the period up to the financial year 2009-10, Rs 10,000 for financial years 2010-11 to 2014-15.

Budget 2023 Updates

For individuals with income up to Rs 7 lakh, a tax rebate has been introduced in the New Tax Regime. This implies that you do not have to pay tax if your taxable income is below Rs 7 lakh under the new tax regime.

The new tax slabs under the new tax regime will be:

Income Slabs

Tax Rates

up to Rs 3 lakh

Nil

Rs 3 lakh- Rs 6 lakh

5%

Rs 6 lakh-Rs 9 lakh

10%

Rs 9 lakh-Rs 12 lakh

15%

Rs 12 lakh- Rs 15 lakh

20%

Above Rs 15 lakh

30%

Under the new tax regime, salaried employees and pensioners can claim a standard deduction of Rs 50,000.

Under the new tax regime, the highest surcharge has been reduced to 25% from 37% for people earning more than Rs 5 crore. This move brings down their tax rate from 42.74% to 39%.

The new IT regime will be the default tax regime. However, taxpayers can opt out of the new regime before the due date for filing the IT returns for the respective assessment year.

Leave encashment for non-government employees has been increased to Rs 25 lakh from Rs 3 lakh.

TDS rate reduced to 20% from 30% on withdrawal of EPF.

[Click here to read all highlights on Budget 2024](#)

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Income Tax Notices

What Is Income Tax?

Income tax is a type of tax that the central government charges on the income earned during a financial year by individuals and businesses. Taxes are sources of revenue for the government. The government utilises this revenue for developing infrastructure, providing healthcare, education, subsidies to the farmer/agriculture sector and other government welfare schemes.

Taxes are mainly of two types: direct taxes and indirect taxes. Tax levied directly on the income earned is called a direct tax; for example, Income tax is a direct tax. The tax calculation is based on the income slab rates applicable during that financial year.

Direct Taxes are broadly classified as :

Income Tax – This is taxes an individual, a Hindu Undivided Family (HUF), or any taxpayer other than companies pay on the income received. The law prescribes the rate at which such income is taxable.

Corporate Tax - This is the tax paid on the company's taxable income. Here again, a specific tax rate for corporations has been prescribed by the income tax laws of India.

Who Should Pay Income Tax? – Types Of Taxpayers

According to the Income Tax Act, everyone in India, whether resident or nonresident, has to file income tax returns. Currently, tax is payable if the income exceeds Rs 3 lakh in a financial year. The Income Tax Act has classified taxpayers into various categories. Different tax rules apply to different types of taxpayers.

Below are the categories of taxpayers:

Individuals

Hindu Undivided Family (HUF)

Firms

Companies

Association of Persons(AOP)

Body of Individuals (BOI)

Local Authority

Artificial Judicial Person

Further, Individuals and HUFs are classified as residents and nonresidents. Resident individuals are liable to pay tax on their global income in India, i.e. income earned in India and abroad. Meanwhile, those who qualify as nonresidents must only pay taxes on income earned or accrued in India. The residential status has to be determined separately for tax purposes for every financial year based on the individual tenure of stay in India. Resident Individuals are further classified into the mentioned categories for tax purposes:

Individuals less than 60 years of age

Individuals aged more than 60 but less than 80 years

Types Of Income – What Are The 5 Heads Of Income?

Everyone who earns or gets an income in India is subject to income tax (Yes, be it a resident or a non-resident of India). For simpler classification, the Income tax department breaks down income into five main heads:

Head of Income

Nature of Income covered

Income from Other Sources

Income from savings bank account interest, fixed deposits, and winning in lotteries is taxable under this head of income.

Income from House Property

Income earned from renting a house property is taxable under this head of income.

Income from Capital Gains

Surplus Income from the sale of a capital asset such as mutual funds, shares, house property, etc, is taxable under this head of Income.

Income from Business and Profession

Profits earned by self-employed individuals, businesses, freelancers or contractors and income earned by professionals like life insurance agents, chartered accountants, doctors and lawyers who have their own practice, and tuition teachers are taxable under this head.

Income from Salary

Income earned from salary and pension is taxable under this head of income.

Taxpayers and Tax Slabs

Each of these taxpayers is taxed differently under the Indian income tax laws. While firms and Indian companies have a fixed rate of tax calculated on taxable income, the individual, HUF, AOP and BOI taxpayers are taxed based on the income slab they fall under. People's income grouped into blocks are called tax brackets or tax slabs. And each tax slab has a different tax rate. The rate at which the tax is charged increases as the taxable income increases.

What is the Existing/Old Income Tax Regime?

The old tax regime provides three slab rates for income tax levy, which are 5%, 20%, and 30% for different income brackets. Individuals can continue with the old taxation regime, and they can claim the following deductions:

Deductions of allowances like Leave Travel Concession (LTC), House Rent Allowance (HRA), and specific other allowances.

Deductions for tax-saving investments as per Section 80C (LIC, PPF, NPS, etc) to 80U can be claimed.

Standard deduction of Rs 50,000.

Deduction for interest paid on home loan.

Tax slab rates applicable for Individual taxpayers below 60 years for the Old tax regime are as below:

Income Range

Tax rate

Tax to be paid

Up to Rs 2,50,000

0

No tax

Rs 2.5 lakhs - Rs 5 lakhs

5%

5% of your taxable income

Rs 5 lakhs - Rs 10 lakhs

20%

Rs 12,500+20% on income above Rs 5 lakh

Above 10 lakhs

30%

Rs 1,12,500+30% on income above Rs 10 lakh

There are two other tax slabs for two other age groups: those 60 and older and those above 80.

A word of note: People often misunderstand that if they earn, let's say, Rs12 lakh, they will be paying a 30% tax on Rs.12 lakh, i.e. Rs 3,60,000. This is incorrect. A person earning Rs 12 lakh in the progressive tax system will pay Rs 1,12,500 + Rs 60,000 = Rs 1,72,500.

Income Tax Slabs Under New Tax Regime

In the 2020 budget, a new tax regime was introduced with lower tax rates and limited deductions/exemptions for Individuals and HUFs. Hence, many taxpayers did not opt for the new tax regime. However, to encourage taxpayers to adopt the new tax regime in Budget 2023, the income tax slabs under the new tax regime for FY 2023-24 (AY 2024-25) are revised as follows:

New tax regime FY 2023-24
(After budget)

New tax regime FY 2022-23
(Before budget)

Income up to Rs 3 lakh

Nil

Up to Rs 2.5 lakh

Nil

Rs 3 lakh to Rs 6 lakh

5%

Rs 2.5 lakh to Rs 5 lakh

5%

Rs 6 lakh to Rs 9 lakh

10%

Rs 5 lakh to Rs 7.5 lakh

10%

Rs 9 lakh to Rs 12 lakh

15%

Rs 7.5 lakh to Rs 10 lakh

15%

Rs 12 lakh to Rs 15 lakh

20%

Rs 10 lakh to Rs 12.5 lakh

20%

Income above Rs 15 lakh

30%

Rs 12.5 lakh to Rs 15 lakh

25%

Income above Rs 15 lakh

30%

Most of the deductions and exemptions are not allowed if the taxpayers opt for the New Tax regime. However, the exemptions and deductions available under the new regime are:

Transport allowances in case of a specially-abled person.

Conveyance allowance received to meet the conveyance expenditure incurred as part of the employment.

Any compensation received to meet the cost of travel on tour or transfer.

Daily allowance received to meet the ordinary regular charges or expenditures you incur on account of absence from his regular place of duty.

Exceptions To The Income Tax Slab

One must remember that not all income can be taxed on a slab basis. Capital gains income is an exception to this rule. Capital gains are taxed depending on your asset and how long you've owned it. The holding period would determine if assets are long-term or short-term. The holding period to determine the nature of assets differs for different assets. A glance at the holding period, the nature of the assets and the tax rate for each are given below.

Financial Year

The financial year is a one-year period that the taxpayers use for accounting and financial reporting purposes. It is the year in which the income is earned. According to the Income Tax Act, such a period begins from 1st April of the calendar year to 31st March of the next calendar year. It is abbreviated as "FY". For example, the financial year starting from 1st April 2023 and ending on 31st March 2024 can be written as FY 2023-24.

In simple words, a financial year is a year in which the income of a person is earned.

Assessment Year

The one year from 1st April to 31st March starting immediately after the financial year is termed an assessment year. This period is the assessment year because all the taxpayers have to evaluate their income earned in the financial year and pay taxes this year. For example, for incomes earned during the FY 2023-24, the assessment year will be AY 2024-25.

In simple words, the income earned in the financial year will be assessed to tax in the assessment year.

Assessee

The assessee is a person or a group who assesses his/her income and pays tax as per the Income Tax Act. The assessee can be an individual, a partnership firm, a company, an Association of Persons (AOP), a Trust, etc.

What is PAN?

PAN is an abbreviation for the Permanent Account Number. It is a unique 10-digit alphanumeric digit issued by the Income Tax Department to Indian taxpayers. All the tax-related transactions and information of a person are recorded against their unique permanent account number. When the person has to pay advance tax or self-assessment tax, they must mention the PAN number.

Also, an individual submits his PAN to certain entities like banks, mutual fund companies, etc. The financial information from such entities goes to the income tax department via PAN. This allows the taxman to link all tax-related activities with the department. Hence, just by putting in a permanent account number, the taxman can identify all your financial transactions.

What is TAN?

TAN is an abbreviation for Tax Deduction and Collection Account Number. It is a unique 10-digit alphanumeric digit allotted by the Income Tax Department of India. All persons responsible for deduction (TDS) or collection of tax (TCS) are required to obtain TAN. It is compulsory to quote the TAN in TDS/TCS return, any TDS/TCS payment challan, and TDS/TCS certificates.

Residents and Non-Residents

Levy of income tax in India is dependent on the residential status of a taxpayer. Individuals who qualify as a resident in India must pay tax on their global income in India, i.e. income earned in India and abroad. Whereas, those who qualify as Non-residents need to pay taxes only on their Indian income. The residential status has to be determined separately for every financial year for which income and taxes are computed.

Income Tax Payment

Tax Deducted at Source (TDS)

For specified payments, tax is deducted at source when paying the recipient of income. The income recipient can claim credit of the TDS amount by adjusting it with the final tax liability.

Advance Tax

The taxpayer must pay tax in advance when his estimated income tax liability for the year exceeds Rs 10,000. The government has specified due dates for payment of advance tax installments.

Self-Assessment Tax

It is the balance tax that the taxpayer has to pay on the assessed income. The self-assessment tax is calculated after reducing the advance tax and TDS from the total income tax calculated on the assessed income.

E-Payment of Taxes

Taxpayers can pay advance tax and self-assessment tax online from the e-filing website. Click [here](#) to learn how to pay taxes online through e-filing portal.

Filing Your ITR

E-filing of income tax return has been made mandatory for all classes of taxpayers, barring a few exceptions:

Taxpayers aged 80 and above need not e-file the return.

Taxpayers having an income less than Rs 5 lakhs and not claiming a refund need not e-file the return.

For the rest, E-filing is mandatory. Do note that deadlines for filing returns have also been prescribed. For most individual taxpayers, the due date for filing the return of income is 31 July, immediately following the concerned financial year. If you do not file on time, here are some disadvantages:

You will be denied carry forward of losses (except house property loss) to future years.

Delay processing of refund claims if any.

Difficulty on getting home loans.

Levy of late filing fee upto Rs 5,000 (if the total income is above Rs 5 lakh) and Rs 1,000 (if the total income is below Rs 5 lakh) under Section 234F.

Levy of interest under 234A if there are taxes due as on 31 July.

E-filing is a better alternative to filing on the income tax website. Also, it is for more than just e-filing your income tax return.

Tax Craft helps you claim all the deductions you're eligible for and enables you to invest. Once you file your return online, you either e-verify the same or take a print of the ITR V and send it to CPC, Bengaluru, for processing your return.

Read our detailed article on e-verification of return of income.

Here's a guide to e-filing your first tax return on Tax Craft.

Income Tax Return

The taxpayer shall file an income tax return every year via ITR forms prescribed by the income tax department. The government has prescribed seven ITR forms through which the taxpayer can file his income tax return. The taxpayer has to choose the appropriate ITR forms and file his income tax return.

Income Tax Forms List

The seven ITR forms are:

ITR-1: Individuals (residents) having income from salary, one house property, other sources, agricultural income less than Rs 5,000 and with a total income of up to Rs 50 lakh.

ITR-2: Individuals/HUFs not having any business or profession under any proprietorship, more than one house property.

ITR-3: Individuals/HUFs having income from a proprietary business or profession, income of a person as a partner in a firm.

ITR-4: Individuals/HUFs having presumptive income from business or profession, one house property.

ITR-5: Partnership firms or

LLPs. ITR-6: Companies.

ITR-7: Trusts.

Documents Required for ITR Filing

Form 16, Form 26AS, AIS, TIS, Form 16A, proof of tax saving investments made, bank account details, etc, are some of the crucial information/documents you need to be ready with before filing your return. Further, the documents you will need to file your tax return will largely depend on your source of income. Here is our detailed article on documents you need for filing of your return of income.

How can I calculate my income tax?

Individuals should calculate income tax depending on the nature of their income. The salaried individual can take the eligible exemptions available for various allowances received.

Individuals/HUF can take a deduction under Sections 80C to 80U, deduct it from the gross total income, and calculate the income tax liability. Also, the total income tax liability should be adjusted by the taxes paid, such as advance tax, TDS, etc.

Also, the taxpayer should apply the effect of rebate under Section 87A and relief under Section 89, Section 90, and Section 91 to arrive at the net amount of income tax payable.

Any income that you receive should form part of your income tax return. Of course, the law provides exemptions for certain incomes, e.g. LTCG on listed equity shares up to Rs 1 lakh in any financial year, agricultural income, etc. Therefore, here is a quick guideline you can probably follow to compute taxes due on your income:

List down all your income – be it salary, rental income, capital gains, interest income or profits from your business or profession.

Remove incomes that are exempt under the law.

Claim all applicable deductions available under every source of income. E.g., claim a standard deduction of Rs 50,000 from salary income, claim municipal taxes from rental income, claim business-related expenses from your business turnover, etc.

Claim all applicable exemptions under every head of income, e.g., amount reinvested in another house property can be claimed as exemption from capital gains income, etc.

Claim applicable deductions from your total income, e.g. the Section 80 deductions like 80C, 80D, 80TTA, 80TTB, etc.

You will now arrive at your taxable income. Check the tax slab you fall under and accordingly arrive at your income tax payable.

The government keeps introducing and altering tax slabs, schemes and tax benefits, so it's a good idea to keep up with the Budget.

What Is Computation Of Income?

The process of calculating taxable income after taking into account the income from all the five heads (salary, house property, capital gains, business or profession, and other sources), exemptions, deductions, rebates, set off of losses, etc., is called computation of income. After the computation of income, the taxpayer can compute the income tax liability as per the Income Tax Act.

Rebate u/s 87A

Rebates under Section 87A allow taxpayers to reduce their income tax liability. If you are a resident individual and the amount of your total income after reducing Chapter VI-A deductions (Section 80C, 80D, 80U, etc) does not exceed Rs 5 lakh in a financial year, you can claim a tax rebate up to Rs 12,500. This means if your total tax payable is less than Rs 12,500, then you will not have to pay any tax.

In Budget 2023, a tax rebate on income of Rs 7 lakhs has been introduced under the new tax regime, and no changes have been made in the 2024 interim budget. Therefore, you do not have to pay tax if your taxable income is up to Rs 7 lakhs under the new tax regime.

E-File Returns

The taxpayer shall electronically file the income tax return through the e-filing platform of the IT department. To file the income tax return, the taxpayer should register at www.incometax.gov.in. After that, the taxpayer can log in to the website and file his ITR. Also, there is no need to manually send the acknowledgement of the return to the income tax department. The income tax department now allows e-verification of the ITR in different ways, which completes the income tax return process.

What is ITR-V?

Form ITR-V is an income tax return verification form generated after the taxpayer files income tax return and submits it to the income tax department. The ITR-V should be e-verified or must be sent to CPC Bangalore at "Income Tax Department – CPC, Post Box No – 1, Electronic City Post Office, Bangalore – 560100, Karnataka" for verification. The ITR processing takes place only if its verification is completed.

Did You E-file Your Tax Return For This Year?

You can file your Income Tax Return on Tax Craft. Even if you don't know anything about taxes, we will take you step-by-step and help you e-file. Check Tax Craft Income Tax E Filing.

Income Tax Saving Instruments

A taxpayer can save tax by tax planning. A taxpayer can do tax planning by investing in tax-saving instruments. It helps in reducing the income tax liability. Section 80C to 80U of the Income Tax Act allows a deduction for certain expenditures and investments from the total

computed income if taxes paid under the old tax regime. Some of the popular Section 80C investments are:

Popular Section 80C Investments

Particulars

ELSS

PPF

NSC

5-Year Tax Saving FD

SCSS

Section 80C Benefit

Yes

Yes

Yes

Yes

Yes

Type of Investment

Equity

Fixed Income

Fixed Income

Fixed Income

Fixed Income

Lock-in Period

3 Years

15 Years

5 Years

5 Years

5 Years

Maximum Investment

No Max Limit

Rs 1.5 lakh

No Max Limit

Rs 1.5 lakh

Rs 15 lakh

*ELSS and NSC have no upper investment limit. However, you get tax benefits under Section 80C only up to Rs 1.5 lakh per financial year.

Health Insurance and Medical Expense Deduction

Apart from the Section 80C deduction, a taxpayer can also take a tax benefit under Section 80D for health insurance premium and medical expenditure incurred for self, family and parents.

Person insured

Maximum deduction Below 60 years

Maximum deduction 60 years or older

You, your spouse, your children

Rs. 25,000

Rs. 50,000

Your parents

Rs. 25,000

Rs. 50,000

Preventative health checkup

Rs. 5,000

Rs. 5,000

Maximum deduction (includes preventive health checkup)

Rs. 50,000

Rs. 1,00,000

Education Loan Deduction

Under Section 80E, the taxpayer can claim a deduction for the interest paid on a loan taken for higher education. There is no limit to claiming such a deduction in the income tax return.

Home Loan Deduction

Under Section 24, the taxpayer can claim a deduction for interest paid on a housing loan during the relevant financial year. The deduction amount will depend upon whether the house is self-occupied or let out. The taxpayer can also claim a deduction of the principal amount of the loan under Section 80C up to Rs 1.5 lakh.

Deduction on

Maximum allowed (for self-occupied house property)

Maximum allowed (for property on rent)

Stamp duty and registration + principal

Rs 1,50,000 within the overall limit of Section 80C

Rs 1,50,000 within the overall limit of Section 80C

Deduction on home loan interest under Section 24

Rs 2,00,000

No cap (but rental income must be shown in the income tax return). Further, the maximum loss from house property is capped at Rs 2 lakhs

Deduction for first-time homeowners under Section 80EE *certain conditions apply

Rs 50,000

—

Deduction for Interest Income

The taxpayer can also claim a deduction for interest on deposits from banks under Section 80TTA of the Income Tax Act. Individuals can claim up to Rs 10,000 deduction under the said section.

Important Income Tax Dates 2024

15th March 2024 - Due date for the fourth installment of advance tax for the FY 2023-24.

15th June 2024 – Due date for the first installment of advance tax for the FY 2024-25.

31st July 2024 – Income tax return filing for FY 2023-24 for individuals and entities not liable for tax audit and who have not entered into any international or specified domestic transaction.

15th September 2024 – Due date for the second installment of advance tax for the FY 2024-25.

30th September 2024 – Submission of audit report (Section 44AB) for AY 2024-25 for taxpayers liable for audit under the Income Tax Act.

31st October 2024 – ITR filing for taxpayers requiring audit (not having international or specified domestic transactions).

31st October 2024 – Submission of the audit report for AY 2024-25 for taxpayers having transfer pricing and specified domestic transactions.

15th December 2024 – Due date for the third installment of advance tax for the FY 2024-25.

31st December 2024 – Last date for filing a belated return or revised return for FY 2023-24.

Income Tax Law

Income Tax Act

The Income Tax Act includes all the provisions that govern the country's taxation. Every year, the Finance Minister presents a budget in February. The Union Budget brings in various amendments to the Income Tax Act. The most recent Union Budget presented by the current Finance Minister included the introduction of a new tax regime.

Apart from the IT Act, the other components of the income tax law are income tax rules, circulars, notifications, and case laws. All of these help in the implementation of income tax law and the collection of taxes.

About Income Tax Department India

The Income Tax Department is a government agency. The Act empowers the Income Tax Department to collect direct tax on behalf of the Government of India. The Ministry of Finance manages the revenue functions of the Government of India. The finance ministry has given the task of administration of direct taxes, like Income Tax, etc., to the Central Board of Direct Taxes (CBDT). The CBDT is one of the parts of the Department of Revenue in the Ministry of Finance. The CBDT administers direct tax laws through the IT Department.

Thus, the Income Tax Department is a government agency that administers the Income-tax law under the control and supervision of the CBDT. The Income Tax Department has been given the power to collect direct tax on behalf of the Government of India.

Budget 2023 – All Income Tax Related Announcements

Deduction from Capital Gain - Capital gains on reinvestment in a residential house property under sections 54 and 54F of the Income Tax Act are ceiled to Rs.10 crores.

Surcharge - The highest surcharge rate was reduced from 37% to 25%.

Insurance policies - Income from insurance policies having a premium or aggregate premium above Rs 5,00,000 a year is taxable under the head 'Income from other sources'. This new rule will apply to policies issued on or after 1st April 2023. A deduction shall be allowed for a premium paid if it is not claimed earlier under any other provisions of the act. Suppose the Income received on the insured person's death is considered exempt.

E-gold Receipt - Conversion of gold into E-gold receipts or vice versa is not treated as capital gain.

Presumptive taxation - For MSMEs and certain professionals, the limit is raised to Rs 3 crore and Rs 75 lakh to avail presumptive taxation benefits. An increased limit applies provided the total cash receipts are not more than five per cent of the total gross receipts/ turnover.

Related Income Tax Articles

Income Tax Department Portal – Login & Registration Guide

incometaxindiaefiling.gov.in – Income Tax e-Filing Guide

Income Tax E Filing

Income Tax Slabs & Rates

Check your Income Tax Refund Status Online

What is Form 26AS?

What is Form 16?

Frequently Asked

Questions

When it is mandatory to file return of income?

The companies and firms are mandatorily required to file an income tax return (ITR). However, individuals, HUF, AOP, BOI should file ITR if the income exceeds the basic exemption limit of Rs 2.5 lakh. This limit is different for senior citizens (Rs 3 lakhs) and super senior citizens (Rs 5 lakh).

Can i file return of income even if my income is below taxable limits?

Yes, you can file return of income voluntarily even if your income is less than basic exemption limit

What documents are to be enclosed along the return of income?

There is no need to enclose any documents with the return of income. However, one should retain the documents to produce before any competent authority as and when required in future.

Should I disclose all my income in the return even if it is exempt?

Yes. Income from every source including exempt income must be disclosed. The same can be shown under the Schedule EI.

Should I e-verify to get the IT refund?

e-Verification of the income tax return filed electronically is mandatory to complete the process of ITR filing. One should e-verify income tax returns within the stipulated time. Non-verified ITR will be treated as invalid. You can e-verify ITR by Aadhaar OTP, bank ATM, Electronic Verification Code (EVC), and net-banking.

Can I take Section 87A rebate from tax on long-term and short-term capital gains if there is no other income?

You can take rebate under Section 87A from tax on long-term and short-term capital gains. However, if there is long-term capital gain from sale of equity shares or equity oriented funds (Section 112A), you cannot adjust rebate under Section 87A from tax on such LTCG.

Can I file a return after completion of the assessment year?

The Budget 2022 proposed to introduce an 'Updated' return that can be filed within 24 months of the end of the relevant AY, on the payment of additional tax. Even if you have not filed original return before the due date specified in the Income Tax Act, you can file the 'updated' return.

What are the maximum exemption limit and slab rates applicable for Assessment Year 2024-25?

New Income Tax Slab

Slab Rates (For Resident and non-resident individuals, senior citizens and super senior citizens) Up to Rs 3,00,000 Nil

Rs 3,00,001 - Rs 6,00,000 5% (tax rebate u/s 87A)

Rs 6,00,001 - Rs 9,00,000 10% (tax rebate u/s 87A up to 7 lakh)

Rs 9,00,001 - Rs 12,00,000 15%

Rs 12,00,001 - Rs 15,00,000 20%

More Than Rs 15,00,000 30%

Is standard deduction of Rs 50,000 allowed under the new tax regime?

Yes, standard deduction is allowed under the new tax regime.

What are the income tax changes in interim budget 2024?

For the AY 2024-25, there has been no changes in the income tax.

What is the basic exemption limit for FY 2023 24?

The basic exemption limit under the old tax regime for individuals below the age of 60 years is 2.5 lakhs, and 3 lakhs for people aged between 60 to 80 years and 5 lakhs for the people over the age of 80 years. Under the new tax regime the basic exemption limit is 3 lakh for all the individuals.

What are the deductions allowed under the new tax regime?

As per the new tax regime, majority of the deductions are not allowed. However, standard deduction of up to 50,000 is allowed, family pension, and deduction for employers contribution to NPS account is allowed.

Which are the ITR Forms?

ITR 1, 2, 3, 4, 5, 6, 7 are all the ITR Forms available.

Is NPS scheme taxable under the new tax regime?

Tax benefit is available for the employer's share to the NPS Contribution. However, employees share to the NPS Contribution.

4. Income Tax Basics:

Basics of Income Tax for Beginners

Updated on: May 29th, 2023

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25 min read

Paying your [income tax](#) for the first time is a milestone in any citizen's life. However, the process can seem too daunting and tedious for a first-timer, and some of the terms tend to go right over your head. This needn't be so. To help you understand the tax implications of your income (based on your income source), here is a compilation of basics of income tax for beginners.

#Budget2019



Middle class tax payers rejoice!*

- ✓ Standard deduction for salaried persons raised from Rs. 40,000 rupees to Rs. 50,000
- ✓ Individuals having taxable income upto Rs. 5,00,000 to get full rebate of the tax
- ✓ TDS threshold on interest on bank and post office deposits raised from Rs. 10,000 to Rs. 40,000 Rupees
- ✓ Section 54 Capital Gains exemption now available on purchase of two house properties (Once in a lifetime)

*Conditions apply



Basics of Income Tax for Beginners

Are you just out of college and looking for a job? Or have you already landed the job and are going to file your income tax returns for the first time? If nitty-gritty of income tax and investments confuse you, Tax Craft is here to help. Our aim at Tax Craft is to simplify Income Taxes for you and make your

financial lives easier. Basically, anybody with an income is liable to file income tax returns. Today we bring to you the basics of Income Tax you'll need to equip yourself with and this should help you take a confident first step into your job.

Defining the 'Previous year'

Previous year or the financial year or your tax year is the 12 month period that begins on 1st April and ends on the 31st March of the next year. No matter when you start your job, your tax year closes on 31st March and a new tax year starts on 1st April. So, it is important to plan your taxes for each financial year.

Assessment Year

It is a term you'll often hear in relation to tax filing. It is the financial year after the previous year in which you will 'assess' and file your return for the previous year. So, assessment year is 2019-20 for the previous year 2018-19. Assessment year is the year in which you will file your return for the previous year. For instance, if you start your job on 1 January 2023, your tax year closes on 31 March 2023. 2022-23 is your previous year and your AY is 2023-24.

Understanding your Salary

When you start your job – reach out to your payroll or HR department and get your Salary details/ Pay Slip / Tax Statement. Here, you will get an idea of the major components of your salary and how much tax will be deducted from your salary based on them.

Example: Most companies give [House Rent Allowance or HRA](#), and you can save tax on that if you are living on rent.

Income on which you pay Tax

Besides the salary income you receive, you may be earning an income from several other sources. Your Total Income is the sum total of all heads of income below.

Sources of Income

Sources of Income	Particulars
Income from Salary	Salary, Allowances, Leave encashment basically all the money you receive while rendering your job as a result of your employment agreement
Income from House Property	Income from house or building, this may be owned and self-occupied or may be rented
Income from Capital Gain	Income from gain or loss when you sell a capital asset

Income from Business or Profession	Income/loss that arises as a result of carrying on a business or profession
Income from Other Sources	This is the residual head – includes your income from savings bank accounts, fixed deposits, family pension or gifts received

Deductions

Deductions reduce your Gross Income. These are the amounts Income Tax Department allows you to reduce your Income, bringing down your tax liability.

Sum of All heads of Income = Gross Income

Gross Income – Deductions = Taxable Income

A word of Advice



The more you make use of the deductions allowed, the lower your tax shall be. Deductions are allowed under section 80 of the Income Tax Act (Section 80C to 80U).



The more you make use of the deductions allowed, the lower your tax shall be. Deductions are allowed [under Section 80](#) of the Income Tax Act (Section 80C to 80U).

However, in 2020, the government introduced two tax regimes in India: The old tax regime and the new tax regime. The percentage of income tax that you pay on your total income differs under the old and the new tax regime. [Click here](#) to know more about the old and the new tax regimes.

Under the old tax regime, all deductions are allowed under Sections 80C to 80U, subject to conditions. However, under the new tax regime, only the deduction on let-out property under Section 24B and the deduction on the employer's contribution to NPS are allowed.

Deductions Under Section 80C

[Section 80C](#) can take off INR 1,50,000 from your Gross Income. Given below are some of the widely-used investment vehicles under this section.

PPF

One of the most popular deductions under 80C is deposits to Public Provident Fund or PPF. When you open a PPF account, you need to deposit a minimum of INR 500 and a maximum of INR 1,50,000 in a year. Money deposited in a PPF account compounds, as you deposit more money in the subsequent financial years to claim deductions. PPF is a traditional and safe saving avenue to park your hard earned money. A PPF account can be easily opened with a bank.

Tax-saving FD

Fixed deposits assure capital protection as well as a sizable interest income for investors. To get tax benefits under 80C, you need to stay invested for at least 5 years. It is safe, but the Interest Income from it is taxable.

Tax-saving mutual funds or ELSS

One of the only mutual fund scheme allowed under 80C, ELSS (Equity Linked Savings Scheme) is gaining popularity among people for its historically higher performance in the recent years. Another perk of ELSS is that it has the lowest lock-in period of 3 years.

Section 80 Deductions



TDS or Tax deducted at source

TDS is Tax Deducted at Source – it means that the tax is deducted by the person making payment. The payer has to deduct an amount of tax based on the rules prescribed by the income tax department. For instance, An employer will estimate the total annual income of an employee and deduct tax on his Income if his Taxable Income exceeds INR 2,50,000. Tax is deducted based on which [tax slab you belong to each year](#). Similarly, if you earn interest from

a Fixed Deposit, the bank also deducts TDS. Since the bank does not know your tax slabs, they usually deduct TDS @ 10%, unless you haven't mentioned your PAN (in that case a 20% TDS may be deducted).

Calculating Tax Payable

On your Taxable Income, tax slabs or rates are applied and final tax payable is calculated. From this tax payable, you can reduce all the TDS that has already been deducted.



Did You Know?

$$\text{Final Tax Payable} = \text{Tax Payable on Total Taxable Income} - \text{TDS already Deducted}$$



You can always use our Tax Calculator!

Standard Deduction

As per the Budget 2018, salaried employees are entitled to a standard deduction of Rs 40,000 from the gross salary. This standard deduction will replace the medical reimbursement amounting to INR 15,000 and transport

allowance amounting to Rs. 19,200 in a financial year. Effectively, the taxpayer will get an additional income exemption of Rs 5,800. The limit of Rs. 40,000 has been increased to Rs. 50,000 from FY 2019-20 onwards in the Interim Budget 2019. From FY 2023-2024, this deduction of Rs.50,000 is available and can be claimed under both the old and new tax regimes.

Illustration on salary TDS

Aditya is a 25-year-old software engineer living in Mumbai. He spends his free time enjoying his new found financial freedom. This is his first job and he's clueless about tax or savings. But it's almost the end of January and Aditya heard his friends talking about Section 80C and how they pay zero tax thanks to Section 80C. Aditya earns Rs 6,60,000 annually. Here are his salary details.

Salary components	Monthly	Annually
Basic salary	30,000	3,60,000

House Rent Allowance	15,000	1,80,000
Special Allowance	10,000	1,20,000
Total		6,60,000

Aditya looked up his pay slip and found out that his employer has been deducting a TDS on his salary of Rs 2,988 each month. This shall work out to Rs 35,860 for the whole year. While Aditya has been busy enjoying his new life he has no clue how much tax he needs to pay and whether he can save any tax! Let's help him!

Aditya should first find out his total income from all sources. Besides salary income, Aditya has earned savings bank account interest of Rs 2,500. He found this amount in his bank statement. His father had forced him to put aside Rs 50,000 in fixed deposit and from his online FD statement, he found

out he will earn an interest of Rs 3,500 on this FD until 31st March 2020.

Aditya is not sure whether any TDS has been deducted on his interest income – so he looks up his Form 26AS. Form 26AS has the details of all the tax deducted and deposited against Aditya's PAN. He found TDS of Rs 2,988 deducted by his employer each month until January.

Here is Aditya's total Income under old tax regime:

Income from salary		Rs 6,60,000
Income from other sources		Rs 6,000
Savings Bank account interest	Rs 2,50 0	

Fixed Deposit interest	Rs 3,50 0	
Gross Total Income		Rs 6,66,000
Tax deducted or TDS till the end of January 2020 (Rs 2,988*10)		Rs 29,880

Aditya also revealed he lives in a rented accommodation in Mumbai along with 4 other roommates and his share of rent is Rs 10,000. If Aditya can organize rent receipts from the landlord and get his PAN number, he can claim an exemption on [HRA](#). If Aditya can submit the rent receipts well in time, to his employer – his employer will be able to adjust his tax calculations.

Aditya's HRA exemption

HRA exemption shall be least of the following:	
HRA received (A)	Rs 15,000
50% of the basic salary	Rs 15,000
Rent paid less 10% of the basic salary	Rs 7,000
HRA exempt (lower of the above) (B)	Rs 7,000

HRA taxable (A)-(B)	Rs 8,000
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Now let us see Aditya’s revised tax calculation.

Aditya’s revised tax calculation		
Income from salary		Rs 5,76,000
Basic salary	Rs 3,60,000	

Taxable portion of HRA	Rs 96,000	
Special allowance	Rs 1,20,000	
Income from other sources		Rs 6,000
Gross total income		Rs 5,82,000
Deduction under section 80C		Rs 1,50,000

Deduction under section 80TTA	Rs 2,500
Total income	Rs 4,29,500
Tax payable	Rs 8,975
Less: Rebate under section 87A (for total income up to Rs 5 lakh)	Rs 8,975
Tax payable	Nil

Did you notice? If Aditya can manage to claim Rs 1,50,000 under section 80C – no tax shall be payable by him on account of rebate claimed under section 87A. With this deduction, his taxable income does not exceed Rs 5 lakh which is eligible for rebate under section 87A for the AY 2020-21.

However, Aditya has to file an income tax return because his gross total income is above the basic exemption limit of Rs 2.5 lakh. Also, Aditya can claim a refund of the TDS of Rs 29,880 which has been deducted on his income. Aditya claims Rs 1,50,000 under section 80C. Deduction on Section 80C is available for PF @12% of Basic Salary, its Rs 43,200 for him. Since this is already deducted from salary, he simply needs to consider this amount – no additional payout is required.

Aditya wants to try his hands in equities and finds the market returns promising so he invests Rs 50,000 in ELSS. He opens a PPF account and deposits Rs 57,580 – all of these add up to Rs 1,50,780. The amount of deduction eligible under section 80C is limited to Rs 1,50,000. Accordingly, Aditya claims a deduction of Rs 1,50,000 under section 80C.

Deduction under section 80C available to Aditya

EPF contribution @ 12% of basic salary	Rs 43,200
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Subscription to ELSS	Rs 50,000
Contribution to PPF	Rs 57,580
Total	Rs 1,50,780
Eligible deduction	Rs 1,50,000

Documents Required to File Income Tax Returns

Many documents are required to be kept ready before filing the Income Tax Return (ITR). These documents vary according to the source of income, as stated below:

- Salaried individual – Form 16/16A, 26AS, rent receipt paid for HRA, payslips, investments made under Section 80C, 80E, 80D and 80G.
- Capital gains – ELSS statement, mutual fund statement, sale and purchase of equity/debt funds, purchase/selling price of a house, registration details if any house property is sold, and capital gains statement showing the sale of shares and stock trading.
- House property – PAN card details, co-owner details, property address and home loan interest certificate.
- Other sources - Bank FD details and details of interest received from tax-saving or corporate bonds.

Income Tax Slabs

Individuals must pay the rate of tax as per the income tax income slab they fall under. People whose income is below Rs.2,50,000 in a financial year do not have to pay taxes. The tax rates vary under the new and the old tax regime, starting from 5% to 30%. Below are the income tax slabs and the applicable tax rates:

Income Slab	Old Tax Regime	New tax Regime (until 31st March 2023)	New Tax Regime (From 1st April 2023)
₹0 - ₹2,50,000	-	-	-
₹2,50,000 - ₹3,00,000	5%	5%	-
₹3,00,000 - ₹5,00,000	5%	5%	5%

₹5,00,000 - ₹6,00,000	20%	10%	5%
₹6,00,000 - ₹7,50,000	20%	10%	10%
₹7,50,000 - ₹9,00,000	20%	15%	10%
₹9,00,000 - ₹10,00,000	20%	15%	15%

₹10,00,000 - ₹12,00,000	30%	20%	15%
₹12,00,000 - ₹12,50,000	30%	20%	20%
₹12,50,000 - ₹15,00,000	30%	25%	20%
>₹15,00,000	30%	30%	30%

Income Tax Returns

The Income Tax Department has notified 7 various Income Tax Return forms, i.e. ITR-1, ITR-2, ITR-3, ITR-4, ITR-5, ITR-6 & ITR-7. Every taxpayer should file ITR on or before the specified due date, i.e. 31 July of the assessment year. The applicability of ITR forms varies depending on the sources of income, the amount of the income earned and the category of the taxpayer like individuals, HUF, company, etc. [Click here](#) to know more about the different ITR forms.

5. Income Tax Refund

Income Tax Refund - How To Check Income Tax Refund Status For FY 2023-24 (AY 2024-25)?

[By Ektha Surana](#)

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Updated on: Mar 23rd, 2024

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19 min read

If you have paid more taxes than your actual liability, you can request a refund for the excess amount. The Income Tax Department offers an online facility for tracking your [Income Tax Refund status](#). You can easily check the progress of

your refund by entering your PAN (Permanent Account Number) and the applicable Assessment Year.

- Tax refunds are initiated by the tax department once you have [e-verified](#) your return
- Typically, it takes 4-5 weeks for the refund to be deposited in your bank account
- If the refund is not received within this timeframe, you should consider these steps:
 - Check intimation for any discrepancies or errors in your ITR (Log in to [e-filing portal](#) > e-File > Income Tax Returns > View filed returns)
 - Check your email for notifications from the Income Tax (IT) department regarding the status of the refund.
 - Check the refund status using the methods provided below

How to Check your ITR Refund Status for FY 2023-24?

You can check your refund status using either of these methods:

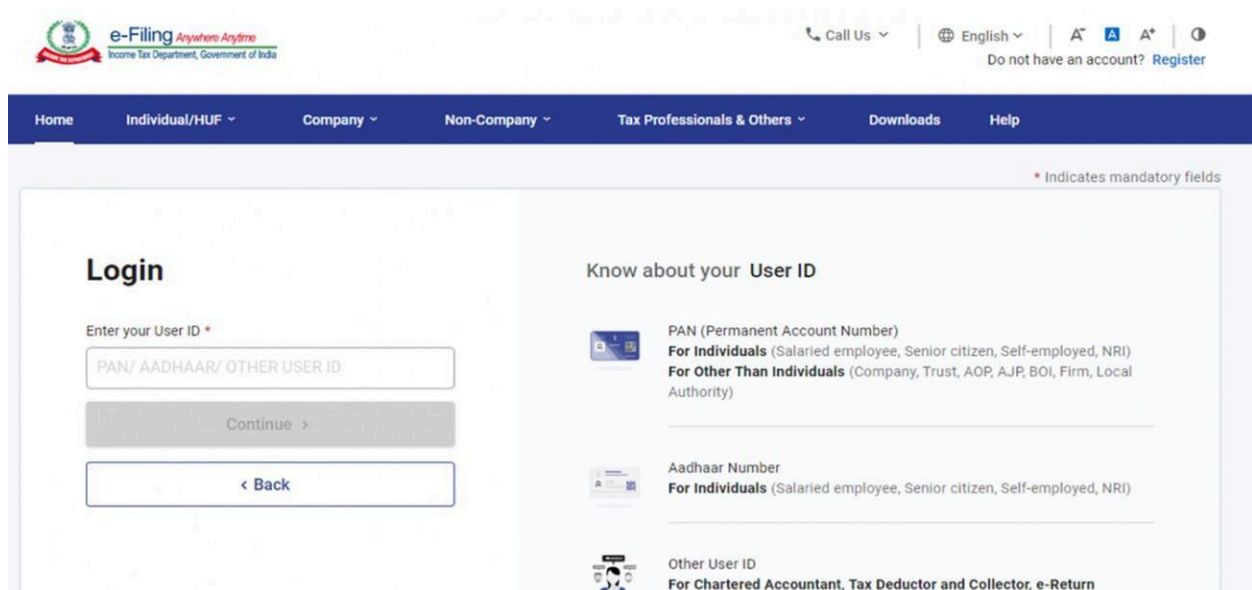
- TIN NSDL website
- Income tax e-filing portal

Refund Status check on TIN NSDL Portal

- Go to [this online refund checking facility](#)
- Scroll down and enter your PAN, AY, captcha, and then click on 'Submit'.

Refund Status check on Income Tax e-filing Portal

Step 1: Visit the income tax portal and log in to your account



The screenshot shows the login page of the Income Tax e-filing portal. At the top, there is a header with the e-Filing logo and navigation links. The main content area is divided into two sections: 'Login' and 'Know about your User ID'.

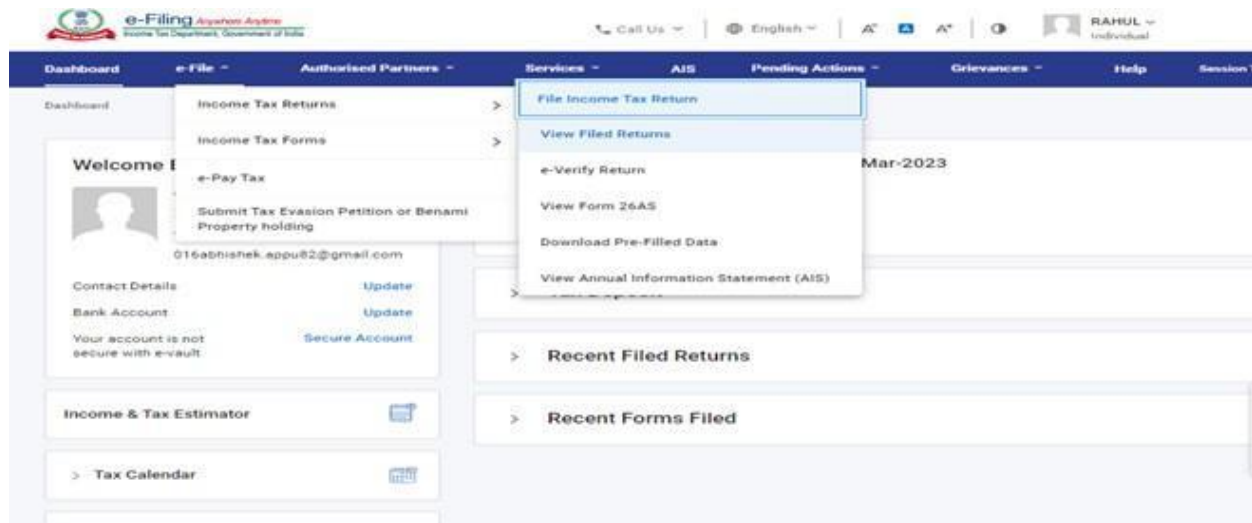
Login Section:

- Enter your User ID *
- Input field: PAN/ AADHAAR/ OTHER USER ID
- Continue > button
- < Back button

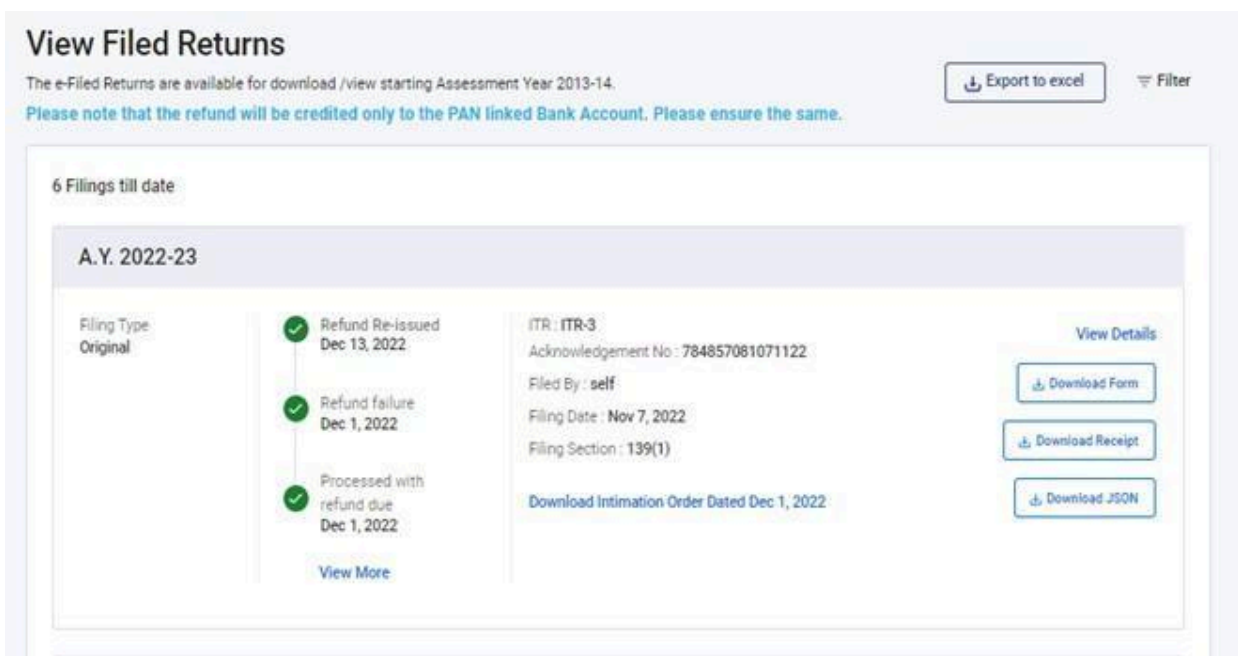
Know about your User ID Section:

- PAN (Permanent Account Number)**
 - For Individuals** (Salaried employee, Senior citizen, Self-employed, NRI)
 - For Other Than Individuals** (Company, Trust, AOP, AJP, BOI, Firm, Local Authority)
- Aadhaar Number**
 - For Individuals** (Salaried employee, Senior citizen, Self-employed, NRI)
- Other User ID**
 - For Chartered Accountant, Tax Deductor and Collector, e-Return**

Step 2: Click on 'e-File', choose 'Income Tax Returns' and then select 'View Filed Returns'



Step 3: You can see the status of your current and past income tax returns.



Step 4: Click on 'View details' and you'll see the status of your income tax refund, like in the picture below.

A.Y. 2022-23

Filing Type:
Original

ITR : **ITR-1**

Acknowledgement No : [REDACTED]

Filed By : **SELF**

Filing Date :

Jul 31, 2022

Filing Section : **139(1)**

✓ Refund issued
Aug 10, 2022

Date of refund issue : Wed Aug 10 5:30:00 IST 2022

Refund Amount : 26570

✓ Under Processing
Aug 1, 2022

✓ Under Processing
Aug 1, 2022

✓ Successfully e-verified
Jul 31, 2022

✓ Pending for e-verification
Jul 31, 2022

✓ ITR Filed
Jul 31, 2022

If you paid more taxes than you were required to pay, you can claim the additional amount as income tax refund.

Income Tax Refund = Taxes paid (either by way of Advance Tax or TDS or TCS or Self-Assessment Tax) – Total tax liability on the current year income.

If the taxes paid (either by way of Advance Tax or TDS or TCS or Self-Assessment Tax) is more than the actual tax amount due, then the excess tax paid can be claimed as refund. The income tax department will recompute the taxes and validate the refund claim before initiating the refund.

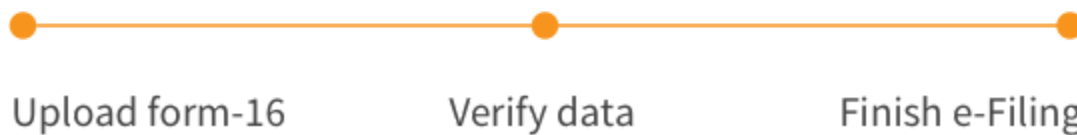
For example: Assume Mr. Gupta paid 3 lakh as an advance tax during the financial year. At the end of the financial year, he learns his tax liability is only 2 lakh. He can request a refund by filing an income tax return (ITR). If the

assessing officer approves his request, the excess tax amount of 1 lakh will be credited to Mr. Gupta's pre-validated bank account.

How to claim income tax refund?

To get your income tax refund or TDS refund, all you need to do is file your Income Tax Return and declare your income, deduction and tax paid details to the Income Tax Department. The amount of refund receivable is computed and shown in the tax return.

A simple 3-step process



You have to finish e-filing to get your Income Tax Refund. Make sure to e-file this year to get your tax refund faster.

Did you e-file your tax return for this year?

You can file your income tax return on Tax Craft. Even if you don't know anything about taxes, we will take you step-by-step and help you e-file.

I missed my ITR filing due date, can I still claim my refund now?

The deadline to file your ITR for non-audit cases was 31st July 2024.

However, if you could not manage filing your taxes before the deadline, you can still file a late return, known as Belated Return. The last date to file a belated return is 31st December 2024. You can claim your tax refund through a belated return.

How long will it take to get the refund?

The time taken to receive the income tax refund entirely depends on the Income Tax Department's internal process. Generally, it takes around 7 to 120 days, with an average time of 90 days after you have e-verified your return.

The Income Tax Department implemented a new refund processing system to enable faster refund processing with an expected turnaround of a few days instead of a few months.

Consistent with this objective, the average ITR processing duration has been reduced to 10 days for returns submitted in the AY 2023-24, as opposed to 82

days for returns submitted in the AY 2019-20 and 16 days for returns submitted in AY 2022-23.

How will I receive the refund?

The Income Tax Department will send the refund amount through electronic mode (direct credit to the account) or through a 'Refund Cheque'. You must enter the correct bank account number and IFSC code with complete address details, including the PIN code, at the time of filing your return to receive refunds. Refunds sent through cheques are dispatched to the address mentioned in the ITR through speed post.

How is the interest on income tax refund calculated?

When the refund amount is more than 10% of the total tax payable for that particular year, you will receive a simple interest on the tax refund. Interest is computed at 0.5% per month on the refund amount. The interest is computed from the beginning of the next financial year till the refund date.

Is the income tax refund taxable?

No, the refund amount is not taxable. But, the interest received on the tax refund is taxable. The rate of tax on the interest would be as per your applicable tax slab rate.

Is there an income tax refund helpline?

You can contact the 'Aaykar Sampark Kendra' for any queries regarding income tax refunds. The toll-free helpline of the Aaykar Sampark Kendra is - 1800-180-1961. You can even send a mail with your refund query to refunds@incometax.gov.in.

For refund-related queries or modifications in the refund record processed at CPC Bangalore, you can contact - 1800-425-2229 or 080-43456700. For any payment-related query, contact the SBI Contact Centre toll-free number at -1800-425-9760.

What does my refund status mean?

Types Refund Statuses are as follows:

No e-filing has been done for this assessment year

Step 1. What does this mean?

This could mean your IT return was not filed at all.

Step 2. What do I do now?

Double check the Assessment Year that you checked your refund status for.

Remember, Financial Year (FY) 2022-23 corresponds to Assessment Year (AY) 2023-24

Under processing

What does this mean?

This means that the income tax department has still not processed your income tax return. Please check your refund status after a month to see if it has been updated.

Refund issued

What does this mean?

This means the income tax department has sent the refund to you (by cheque or by direct debit to the bank account number you provided while e-filing).

Processed with no demand no refund

Step 1. What does this mean?

This could mean either:

- The most common case is you filed with no refund and no tax due. In that case, you're all set for this year.
- It could also be that you did file for a refund, but the income tax department denied the refund because their calculations did not tally with yours.

This generally can happen because of a mismatch of TDS data, incompletely or improperly filled sections in the original filing.

Step 2. What do I do now?

If you forgot to include some deductions while filing, you can revise your return

- When the income tax department differs on the information you've provided, they would have also sent you an intimation u/s 143(1) explaining why. You can now fix the errors and file a rectification to support your refund claim.
- You can get help from an expert who can go through your tax notices and tax returns to best guide you. The expert can also help you file a rectification.

Refund Failure

Step 1. What does this mean?

This could mean the bank account details (account number or IFSC Code) that you submitted to the I-T department are wrong and not pre-validated, and hence the refund wasn't processed.

Step 2. What do I do now?

- You need to log in to incometax.gov.in, enter the correct bank details with the I-T department, and prevalidate the bank details.

After you pre-validate the bank account, apply for the 'Refund Reissue' from your e-filing account.

[Get Expert Assistance](#)

Case transferred to Assessing Officer

Step 1. What does this mean?

This could mean:

This typically indicates that the IT department needs further clarification/information regarding the income tax return that you filed. The Assessing Officer would like to discuss things further with you.

In some cases, this could also mean that you have some past taxes outstanding with the IT department which will be adjusted against the tax refund requested by you.

Step 2. What do I do now?

On receiving such a message, contact the AO (Jurisdictional Assessing Officer) for your region.

[Click here to find out details about your AO](#)

Demand determined

Step 1. What does this mean?

This means:

Your refund request has been rejected, and in fact, the IT department finds that you owe them unpaid taxes instead.

You may also have received a notice from the income tax department with the exact amount of tax outstanding and the reason for the same.

This can happen because of incomplete or improper filling of tax details in the original return, withholding income information, or mismatch in TDS.

Step 2. What do I do now?

Read the intimation the IT department has sent you carefully and figure out where the problem occurred. Cross-check with your own e-filing records to verify the information you provided was accurate.

If you find that your own refund request was indeed erroneous, pay the tax demanded by the IT department within the time limit mentioned in the intimation.

If you think the I-T department made a mistake, you can update your information if necessary and file a rectification supporting your refund claim.

Rectification processed refund determined

What does this mean?

This message again goes out only to taxpayers who had been served an intimation to rectify their original returns.

The rectified returns may be completely or partially accepted by the IT department.

Based on the rectification, the IT department has calculated the refund amount and credited the refund

Such a message is shortly followed by a revised intimation and the refund amount from the IT department.

Rectification processed demand determined

What does this mean?

This message again goes out only to taxpayers who have been served an intimation to rectify their original returns. The rectified returns may be completely or partially accepted by the IT department.

However, the IT Department maintains that you have outstanding unpaid taxes. You will also receive an intimation with the exact amount that is outstanding and will have to pay this off within 30 days of receipt.

Rectification processed no demand no refund

What does this mean?

This message again goes out only to taxpayers who have been served an intimation to rectify their original returns. The rectified returns may be completely or partially accepted by the IT department.

Based on the rectification, the department arrives at the conclusion that you neither owe any extra taxes nor do you qualify for any sort of refund of taxes already paid.

You will receive a revised intimation clarifying this fact.

Frequently Asked Questions

I have e-filed my Income Tax Return but have not received my refund till now. What should I do?

If you have not received your refund to date, it could be due to the following reasons:

- Your Income Tax Return has not been processed yet. Once the return is processed you may receive a Refund (if determined). To check the status of your e-filed IT return, log in to the income tax e-filing website and go to 'e-File' → 'Income Tax Returns' → 'View Filed Returns'.
- Your income tax return has been processed but the Income Tax Department has determined *no refund*.
- Your income tax return has been processed with a refund but not credited to your account. You may have not pre-validated your account. Follow this guide to pre-validate your account.

I checked the status of my IT Return and it is displayed as 'Refund Failure'. How can I apply for it again?

Log in to the income tax e-filing website and go to 'Services' → 'Refund Reissue'. Create a refund reissue request, and select the bank account number (if changed) where the refund needs to be credited. The refund will be credited only if the bank account is pre-validated.

My bank account number has changed. I want to change the bank account number which I mentioned in my income tax return.

You can only change your bank account number if you had a refund failure i.e. your IT Return is processed and a refund was generated for you but you did not receive it. If you wish to change the bank account number for a refund failure case, then log in to the income tax e-filing website and go to 'Services' → 'Refund Reissue'. Create a refund reissue request, and select the bank account number (if changed) where the refund needs to be credited. The refund will be credited only if the bank account is pre-validated. Submit the request.

Once the request is submitted, your new bank account will be updated with the income tax department for refund issues.

What is Restricted Refund On Income Tax Portal?

This error typically arises from a discrepancy in the names between your PAN and bank account. Please read all the details [here](#).

My Address has changed. I want to change the Address/ e-mail ID/ Mobile Number which I mentioned in my Income Tax Return.

Log in to the income tax e-filing website and go to 'My Profile' → Edit 'Contact'. Provide the new address/e-mail ID/mobile number and submit. Once submitted, your address/e-mail ID/mobile number is updated in your profile and also sent to the CPC (Central Processing Center) to update the income tax return.

How to use the income tax department's e-filing website?

- The first step is to either login or register on the income tax e-filing website.
- Once you enter your PAN number, the website will tell you if you're already registered.
- If you've e-filed before, chances are that you might already be registered. Please search your email inbox for '*incometax.gov.in*' to look for information that might be useful.
- If you remember your password, log in. If you don't remember your password, you need to [Reset your password](#).

Note: Your User ID is your PAN number.

- After successful login to your account, you can make most of the income tax-related compliances from there.

Is the income tax refund & TDS refund status the same?

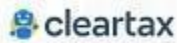
Yes, broadly Income Tax refunds and TDS refunds are one and the same thing. The excess of TDS/TCS deducted over and above the actual payable amount is known as an income tax refund. But, an income tax refund can also result from excess.

- Self Assessment Tax
- Advance Tax

6. **Form 16**

What is Form 16? How To Download Form 16?

TDS is deducted on your salary income and deposited with the Income Tax Department (IT Department) every month. Form 16 is a certificate issued by employers to their employees which gives a detailed summary of the salary paid to the employee and the TDS deducted on the same.



What is Form-16 |
Why is it important |
Components of
Form 16



What Is Form 16?

Using Form 16 you can prepare and file your income tax return. It shows the breakup of salary income and the TDS amount deducted by the employer. It has two components – Part A and Part B (discussed in detail below).

When Will Form 16 Be Available For FY 2023-24?

The due date to issue Form 16 is 15th June 2024. If your employer deducted TDS from April '23 - March '24, then Form 16 must be issued latest by 15th June '24. If you lose your Form 16, you can request a duplicate from your employer.

Why is Form 16 required?

Form 16 is a very important document as:

- It serves as proof that the government has received the tax deducted by your employer.
- Assists in the process of filing your income tax return with the Income Tax Department.
- Proof of Salary Income
- Many banks and financial institutions demand Form 16 to verify the person's credentials while applying for loans.

Each salaried employee can obtain Form 16 from the employer on or before the 15th of June of the following year, immediately after the financial year in which the tax is deducted. If any employer delays or fails to issue Form 16 by the specified date, the employer is liable to pay a penalty of Rs.100 per day until the default continues.

Form 16 Download?

[Download Form 16 PDF Now](#)

Part A of Form 16

Part A of Form 16 provides details of TDS deducted and deposited quarterly details of PAN and TAN of the employer and other information.

An employer can generate and download this part of Form 16 through the TRACES (<https://www.tdscpc.gov.in/app/login.xhtml>) portal. Before issuing the certificate, the employer should authenticate its contents.

It is important to note that if you change your job in one financial year, each employer will issue a separate Part A of Form 16 for the period of employment. Some of the components of Part A are:

- Name and address of the employer
- TAN and PAN of employer
- PAN of the employee
- Quarterly summary of total salary payments for the concerned financial year
- Summary of tax deducted and deposited quarterly, which is certified by the employer

Part B of Form 16

Part B of Form 16 is an Annexure to Part A. Part B is to be prepared by the employer for its employees and contains details of the breakup of salary and deductions approved under Chapter VI-A.

If you change your job in one financial year, you should take Form 16 from both employers. Some of the components of Part B notified newly are:

- Detailed breakup of salary
- Detailed breakup of exempted allowances under Section 10



- Deductions allowed under the Income Tax Act (under chapter VIA): The list of deductions mentioned are as below:
 - Deduction for life insurance premium paid, contribution to PPF etc., under Section 80C
 - Deduction for contribution to pension funds under Section 80CCC
 - Deduction for employee's contribution to a pension scheme under Section 80CCD(1)
 - Deduction for taxpayer's self contribution to a notified pension scheme under Section 80CCD(1B)

- Deduction for employer's contribution to a pension scheme under Section 80CCD(2)
- Deduction for health insurance premium paid under Section 80D
- Deduction for interest paid on loan taken for higher education under Section 80E
- Deduction for donations made under Section 80G
- Deduction for interest income on savings account under Section 80TTA

Details required from Form 16 while filing your return

With reference to the image below, here is where you can locate certain information for filing your income tax return for FY 2023-24 (AY 2024-25).

- Allowances exempt under Section 10
- Break up of deductions under Section 16
- Taxable salary
- Income (or admissible loss) from house property reported by an employee and offered for TDS
- Income under the head 'Other Sources' offered for TDS
- Break up of Section 80C deductions

- The aggregate of Section 80C deductions (gross and deductible amount)
- Tax payable or [refund](#) due



Form 16 – Part B

It shows your name (taxpayer's), address and PAN. You can also find additional information of your employer in your Form 16 while filing your annual return, such as:

- TDS deducted by the employer
- TAN of employer
- PAN of employer
- Name and address of employer
- Current assessment year
- Your PAN

What is the eligibility criteria for Form 16?

According to the regulations issued by the Finance Ministry of the Indian Government, every salaried individual whose income falls under the taxable bracket is eligible for Form 16.

If an employee's income does not fall within the tax brackets set, they will not need to have Tax Deducted at Source (TDS). Hence, in these cases, the company is not obligated to provide Form 16 to the employee.

However, these days, as a good work practice, many organisations issue this certificate to the employee as it contains a consolidated picture of the individual's earnings and has other additional uses.

Points to be noted while checking Form 16

- Once an individual receives Form 16 from the employer, it is their responsibility to ensure that all the details are correct.
- One should verify the details mentioned in Form 16, for example, details of the amount of income, TDS deducted, etc.
- If any of the detail is mentioned incorrectly, one should immediately reach out to the organisation's HR/Payroll/Finance department and get the same corrected.

- The employer would then correct their end by filing a revised TDS return to credit the TDS amount against the correct PAN. Once the revised TDS return is processed, the employer will issue an updated Form 16 to their employee.

Frequently Asked Questions

How to get Form 16?

You can get your Form 16 from your employer. Even if you have left your job, your employer will provide you with Form 16. Unfortunately, this income tax Form 16 cannot be downloaded from anywhere.

I don't have Form 16. How do I file my return?

Though this is one of the most important income tax forms, don't worry if you do not have it. You can still file your income tax return. Click [here](#) to learn more.

If there is no TDS deducted, is the employer required to issue a Form 16?

TDS certificate in Form 16 is issued when TDS has been deducted. If the employer has deducted no TDS, he may not give you Form 16. Please take a look at our Guide on [how to e-file without form 16](#)

When does the employer deduct TDS and does not issue a certificate?

Any person responsible for paying a salary must deduct TDS before making payment. The Income Tax Act lays down that every person who deducts TDS from a payment must furnish a certificate with TDS deducted & deposited details. An employer in specific is compulsorily required to furnish a certificate in the format of Form 16.

If no Form 16 has been issued to me, does it mean I don't have to pay tax or file a return?

While the onus of deducting tax on salaries and providing Form 16 is on the employer, the onus of paying income tax and filing an income tax return is on you. If your aggregate income from all sources goes above the minimum tax slab, you must pay tax, whether or not your employer has deducted TDS.

Even when he fails to issue you a Form 16, you must file an income tax return and pay off the due taxes.

Can you use TRACES to get Form 16 from your employers?

Employees cannot use TRACES to get Form 16. They do not have information of the TDS receipt number and the total tax deducted. They have to get it from their employers directly.

How employer can download Form 16 from TRACES?

TRACES (TDS Reconciliation Analysis and Correction Enabling System) is an online website by the Income Tax Department of India. It is used to manage TDS-related activities and provides services to employers, taxpayers, and other stakeholders. This platform allows employers to download Form 16 Part A & B. To download Form 16 from TRACES, follow these steps:

Step 1: Visit the official TRACES website.

Step 2: Enter PAN card number (User ID) and Password to login, if already registered. For new users, complete the registration process and create a new account.

Step 3: Navigate to the 'Downloads' tab and select 'Form 16.'

Step 4: Choose the Form type and select the financial year for which Form 16 is required.

Step 5: Verify PAN and other details.

Step 6: Enter the TDS receipt number and select the date of TDS.

Step 7: Add the total tax deducted and collected.

Step 8: Click on submit to request for download.

Step 9: Download the files under the 'Downloads' tab once the Form is available for download.